

Article | 2 July 2026

UNITED STATES

US rate hike talk cools on softer jobs data

US job creation slowed after a decent three-month run while the unemployment rate fell, but this was primarily due to worker disengagement with more than 700,000 leaving the labour force. A disappointing outcome that has taken the wind out the sails for calls for imminent rate hikes. A soft July CPI report should boost the case for a prolonged Fed pause



US job growth was weak in June

57,000

US jobs added in June

Lower than expected

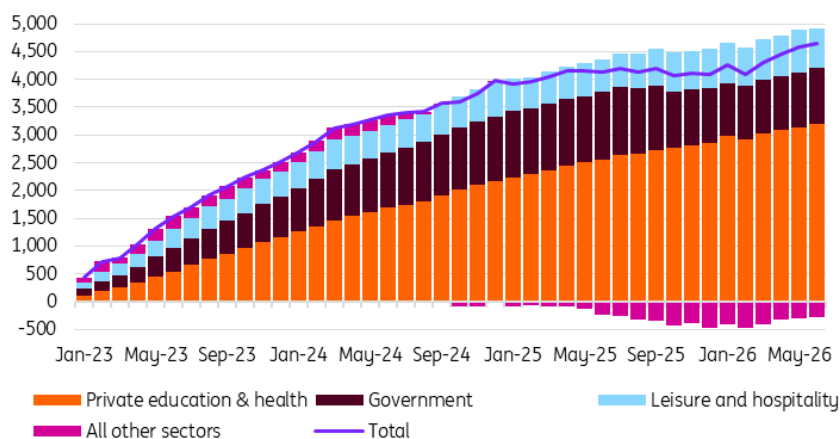
Weak jobs growth, unemployment rate falls for bad reasons

The June US jobs report led with a softer-than-expected non-farm payroll growth number of 57,000 (consensus 113k) with 74,000 downward revisions to the past two months. The

unemployment rate dipped to 4.2% from 4.3%, but this was primarily caused by a big drop in the participation rate to 61.5% from 61.8% – ie not a good reason since it highlights worker disengagement. In fact, the details show the number of people employed falling by half a million, while the number of people unemployed fell 213k, meaning more than 700k left the workforce. Worryingly, the bulk of the pain was seen in prime age workers – those aged 25–54 – where the participation rate fell from 83.9% to 83.3%. Wage growth was in line at 0.3% month-on-month or 3.5% year-on-year.

In terms of non-farm payrolls, the private sector was particularly subdued, rising only 49k, with private education/healthcare services yet again the only source of strength, rising 69k. This sector has cumulatively accounted for 70% of all the jobs created in the United States since December 2022 – a remarkable degree of job concentration. Leisure and hospitality has been another key sector for job creation in recent years, but not in June. Employment fell 61k, which is a major surprise given the World Cup is on and bars and the venues themselves are busy. Employment in this sector had increased by 44,000 in May, so it may be that business owners had thought there might be even more excitement about what was going on and have been left disappointed.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Inflation is the Fed's focus, but better news is coming here

Non-farm payroll growth averaged just 8,571 per month between January 2025 and February 2026, but there was a decent uptick over the March-May period when payrolls increased 164k on average. Today's number suggests that this was not necessarily the start of a new trend and takes some out of the wind of the sails for the call for imminent rate hikes. However, Federal Reserve Chair Kevin Warsh has made it clear that inflation is the Fed's focus right now, so market reaction is somewhat muted, with cumulative hikes by December now amounting to 31bp versus 37bp just before the data was published. The 14 July consumer price inflation data should show MoM prices falling due to the steep drop in gasoline prices and that will likely

have more of an impact on investor psychology. We continue to favour a prolonged pause from the Federal Reserve rather than expect a 2026 rate hike.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 30 June 2026

AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

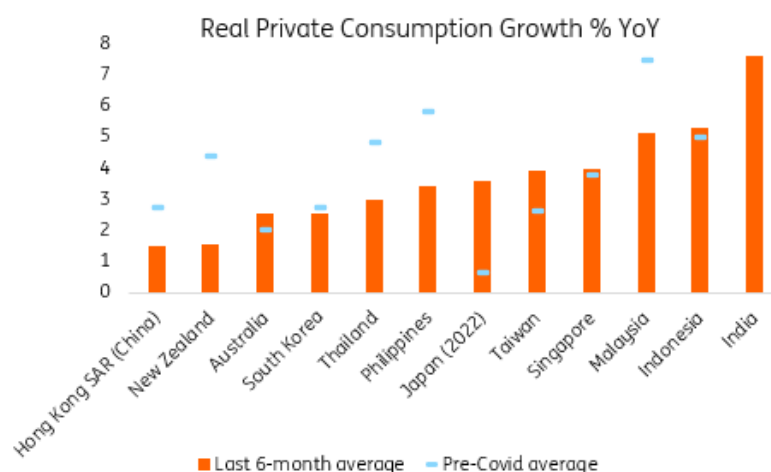
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

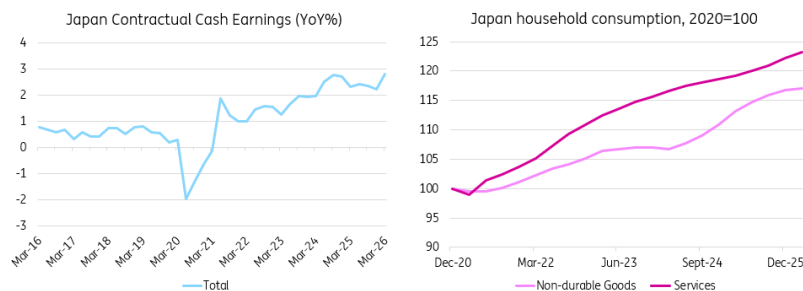
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households—primarily the top 10–20% who already have greater exposure to risk assets.

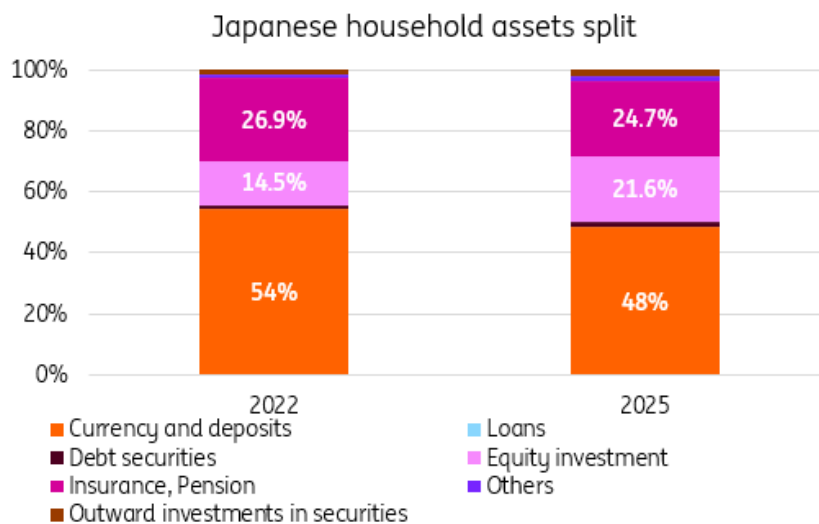
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

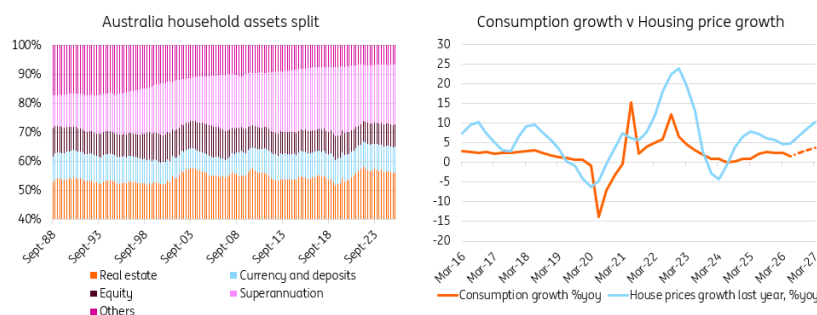
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

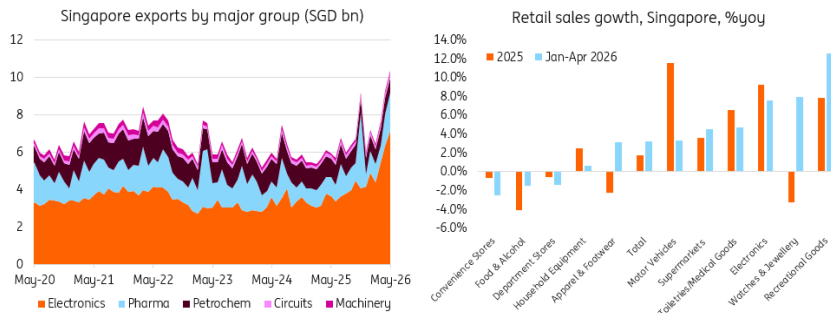
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



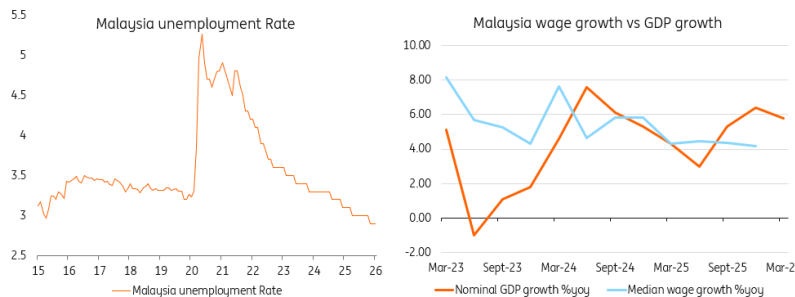
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

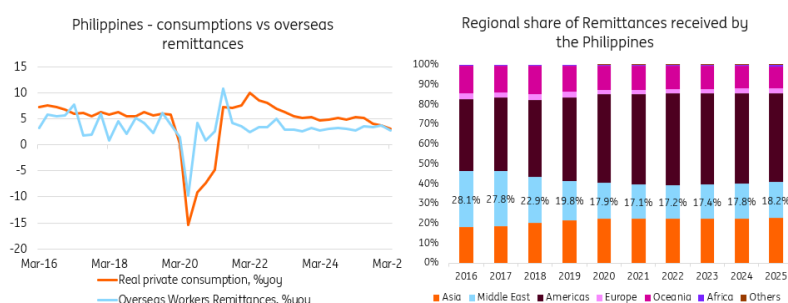
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

Author

Deepali Bhargava

Regional Head of Research, Asia-Pacific

Deepali.Bhargava@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

6 July 2026

Credit Strategy

Supply for June (US\$bn)

	Corporates	Financials
June	110	88

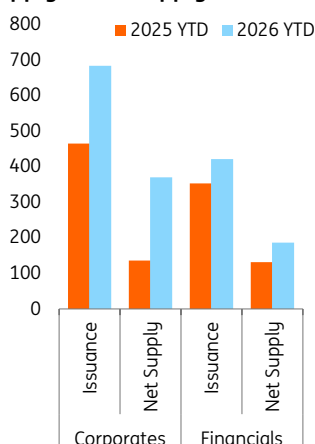
Source: ING, Dealogic

Supply FY and YTD (US\$bn)

Corporates	FY	YTD
2020	1168	794
2021	730	419
2022	565	331
2023	650	435
2024	813	482
2025	926	466
2026	685	685
Financials	FY	YTD
2020	530	348
2021	642	348
2022	629	390
2023	546	276
2024	704	397
2025	749	440
2026	527	527

Source: ING, IGM, Dealogic

Supply & Net Supply YTD



Source: ING, IGM, Dealogic

US Dollar Credit Supply

Supply continues at a strong pace



Corporate supply accelerates further in June

- Corporate supply totalled US\$110bn in June, marking the strongest month since March and almost double the volume recorded in June last year. As a result, YTD issuance has risen to US\$685bn, running well ahead of 2025 and all years since the boom in 2020.
- TMT once again dominated issuance, contributing more than US\$40bn in June and remaining the key driver of the strong YTD supply profile. Utilities and Industrials also saw elevated issuance, with both sectors printing more than US\$25bn during the month. Healthcare, meanwhile, recorded no issuance in June despite remaining one of the strongest sectors on a YTD basis (+109% YoY).
- Corporate Reverse Yankee issuance slowed in June compared with the strong volumes seen earlier in the year. Nevertheless, YTD Reverse Yankee supply remains elevated, supported by continued activity from US TMT issuers and cost-saving opportunities in the EUR market, although the advantage has become more name and maturity dependent as USD credit has tightened.
- The strong pace of issuance continues to be met by solid demand, with attractive all-in yields, positive USD IG fund inflows and large cash balances ready to be put to work helping to absorb supply despite already tight spread levels. This supportive technical backdrop is likely giving issuers confidence to remain active in primary markets, particularly in sectors with large Capex needs.

Financial supply remains high in June with US\$88bn printed

- Financials issued close to US\$88.5bn in the primary market in June, up nearly US\$10bn from the May levels. However, looking specifically at banks' activity, we note a slight decline MoM with US\$58bn issued in June. This brings the banks' USD issuances just over US\$415bn in 2026 YTD, still well ahead of the US\$345bn printed in 2025 YTD.
- Last month, banks issued US\$31bn in senior non-preferred bonds, in line with May levels. However, we note a US\$5bn drop in senior preferred issuances lying at US\$15bn last month.
- Bank subordinated issuances also stayed rather in line with May levels at nearly US\$10.5bn while we note a pickup in covered issuance with US\$2bn supplied. This brings USD covered bond supply to US\$10bn in 2026 YTD, in line with last year's results.
- Since the start of the year, UK issuers have printed US\$37bn in USD-denominated bank bonds across the liability structure, effectively leading the Yankee supply. Japanese names follow second with nearly US\$32bn and Canadian banks with US\$28bn issued in 2026 YTD.

Timothy Rahill

Credit Strategist

timothy.rahill@ing.com

Marine Leleux

Sector Strategist, Financials

marine.leleux2@ing.com

Fig 1 USD corporate supply overview (US\$bn)

	2022	2023	2024	2025	2025 Jun	2026 May	2026 Jun	2025 YTD	2026 YTD	% diff
Auto	29	41	59	47	1	4	1	34	21	-38%
Consumer	63	95	84	105	8	10	2	79	38	-52%
Healthcare	72	114	131	104	5	22	-	39	81	109%
Industrial & Chemicals	89	91	115	101	9	9	26	62	89	44%
Real Estate	26	32	41	44	7	1	2	23	17	-23%
TMT	137	92	125	244	6	18	41	90	267	198%
Utility	100	129	148	160	11	23	27	89	113	26%
Oil & Gas	21	34	72	58	6	7	4	29	32	9%
Others	28	22	39	64	4	2	7	22	27	19%

Source: ING, Dealogic

Note: USD supply numbers include just IG corporates from America and Europe.

Fig 2 USD financial supply overview (US\$bn)

	2022	2023	2024	2025	2025 Jun	2026 May	2026 Jun	2025 YTD	2026 YTD	% diff
Banks	514	452	511	542	37	64	58	345	416	20%
of which SNP	395	326	343	352	14	32	31	236	266	13%
of which SP	35	58	72	75	13	20	15	47	70	49%
of which Capital	56	50	91	101	9	11	10	52	69	33%
of which Covered	28	18	5	13	1	1	2	10	10	2%
Finance	67	56	120	134	4	7	22	56	74	31%
Insurance	48	38	73	70	8	9	8	39	38	-3%

Source: ING, IGM, Dealogic

Fig 3 USD corporate supply and net supply by month (US\$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	34.1	45.8	125.7	45.0	44.8	35.2	25.0	51.7	44.9	41.2	65.4	6.0	564.9
2023	47.9	129.0	68.1	31.7	124.3	33.6	28.4	35.7	49.5	27.3	62.6	11.5	649.7
2024	73.5	138.9	82.0	51.4	77.7	58.3	51.1	91.7	88.7	40.6	40.2	19.0	813.1
2025	57.1	97.6	131.8	47.0	74.7	57.4	28.5	77.2	122.2	102.3	108.1	22.6	926.5
2026	56.2	144.4	178.7	99.3	95.8	110.4							684.7
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	2.8	5.3	69.3	19.1	-8.7	-15.4	-3.2	2.9	4.2	6.4	19.3	-22.9	79.1
2023	9.8	82.0	1.0	-19.9	66.4	-20.5	0.4	1.6	-5.9	3.6	21.1	-15.8	123.7
2024	45.1	94.1	18.9	12.3	34.6	15.7	24.3	51.1	50.3	9.0	-4.7	-6.2	344.5
2025	33.0	63.2	61.1	-12.5	-7.9	-0.8	-7.3	44.6	84.7	61.2	58.8	0.1	378.1
Redemptions	39.3	73.2	74.7	40.9	39.3	46.5	30.0	44.0	42.9	28.7	39.8	27.1	526.2
2026	16.8	71.2	104.0	58.4	56.5	63.9							370.8

Redemptions shown for 2026 only

Source: ING, Dealogic

Fig 4 USD financial supply and net supply by month (US\$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	104.0	41.1	101.5	59.4	51.9	31.9	63.1	53.4	29.8	46.2	40.7	6.7	629.4
2023	86.0	35.4	28.3	36.3	32.2	58.4	56.7	30.6	74.1	49.1	47.8	10.9	545.7
2024	107.0	63.9	63.4	54.8	64.8	43.0	82.6	18.0	72.8	62.9	59.2	11.7	703.9
2025	139.9	61.6	48.2	57.9	83.0	49.6	55.8	33.9	78.4	91.6	30.9	18.3	749.1
2026	150.9	51.4	60.8	96.3	79.8	88.4							527.4
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	23.5	26.6	63.9	19.8	26.6	-9.7	27.1	30.3	-15.4	6.9	19.1	-58.0	160.7
2023	54.6	21.4	-0.6	23.8	7.0	31.9	35.9	21.7	44.5	34.0	37.9	-9.3	302.7
2024	62.2	42.6	14.4	18.4	32.0	13.2	56.0	-1.9	30.1	22.4	28.6	-8.0	309.9
2025	81.9	16.3	10.2	-0.7	53.0	0.9	8.2	1.5	29.4	69.6	7.7	-4.3	273.6
Redemptions	88.2	15.2	44.2	44.4	29.4	50.3	35.8	29.4	49.8	51.1	28.0	60.3	525.9
2026	62.8	36.2	16.6	51.8	50.4	38.1							255.8

Redemptions shown for 2026 only

Source: ING, IGM, Dealogic

Fig 5 Corporate supply and redemptions by month, 2026 (US\$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.7	0.0	9.2	1.4	3.5	1.3							21.1
Consumer	0.2	10.2	8.8	6.9	10.1	2.1							38.2
Healthcare	0.0	40.8	15.5	3.5	21.5	0.0							81.3
Industrial	7.4	7.6	31.6	6.8	9.1	26.1							88.5
Real Estate	1.4	7.2	2.4	2.9	1.2	2.3							17.4
TMT	23.0	49.4	78.5	57.2	18.2	40.8							267.0
Utility	11.6	23.4	18.1	9.8	23.0	27.1							112.8
Oil & Gas	7.0	1.5	9.3	3.0	6.8	4.2							31.7
Others	0.0	4.4	5.5	7.9	2.4	6.5							26.6
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.4	0.0	6.1	4.8	0.4	1.3	2.0	5.0	1.4	0.8	4.6	2.8	34.3
Consumer	6.3	23.9	6.4	7.3	1.0	10.2	7.6	5.1	7.1	5.1	8.2	1.7	89.8
Healthcare	1.5	5.8	13.3	1.2	8.9	7.5	1.7	3.2	3.1	0.9	10.5	3.8	61.2
Industrial	7.4	12.2	8.5	8.6	7.4	6.5	1.2	3.9	6.9	3.4	7.9	4.0	78.0
Real Estate	3.1	4.1	1.3	3.1	2.1	2.3	3.2	2.4	2.5	5.4	3.1	1.6	34.1
TMT	1.4	20.6	22.6	7.3	9.2	10.5	5.8	16.8	11.5	7.4	2.1	2.7	117.8
Utility	8.2	1.9	4.8	3.4	3.4	4.3	4.8	4.7	5.6	3.2	1.2	5.9	51.4
Oil & Gas	3.1	2.7	9.7	2.5	5.3	0.1	1.5	2.0	2.8	1.0	1.8	3.5	36.1
Others	3.0	2.1	2.0	2.8	1.8	3.8	2.2	0.9	1.9	1.6	0.5	1.1	23.7

Source: ING, Dealogic

Fig 6 Financial supply and redemptions by month, 2026 (US\$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	133.7	34.4	45.7	79.8	63.9	58.3							415.6
of which SNP	91.4	26.0	23.4	61.8	32.4	31.1							266.1
of which SP	19.9	1.3	13.3	1.2	19.7	14.9							70.2
of which Capital	22.5	7.1	5.5	12.8	11.1	10.4							69.2
of which Covered	0.0	0.0	3.5	4.0	0.7	2.0							10.2
Finance	8.1	13.8	11.9	10.9	7.1	22.9							74.7
Insurance	9.1	3.2	3.2	5.6	8.8	7.9							37.8
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	72.7	8.8	31.8	33.4	16.6	37.3	28.0	18.5	40.2	40.0	17.8	54.1	399.0
of which SNP	67.2	8.2	23.9	30.7	10.1	29.3	21.9	17.0	30.7	30.6	12.8	47.0	329.2
of which SP	4.0	0.0	0.8	0.0	0.0	1.6	2.7	0.5	0.8	1.8	1.0	0.0	13.1
of which Capital	1.5	0.0	6.8	2.8	6.2	2.5	1.5	1.0	3.5	3.4	2.5	4.5	36.0
of which Covered	0.0	0.6	0.4	0.0	0.3	4.0	2.0	0.0	5.3	4.3	1.5	2.6	20.9
Finance	11.1	5.9	8.7	3.5	9.9	8.1	5.1	7.6	6.0	9.5	7.0	2.5	85.0
Insurance	4.4	0.5	3.7	7.5	2.8	4.9	2.7	3.1	3.2	1.6	3.2	3.7	41.0

Source: ING, IGM, Dealogic

Fig 7 USD supply, redemptions and net supply by year (US\$bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	398.5	709.3	256.5	452.7	2015	239.2	422.3	246.5	175.8
2016	415.5	697.4	293.4	404.0	2016	224.6	395.7	237.2	158.5
2017	390.1	743.8	355.7	388.1	2017	250.6	424.7	267.3	157.3
2018	368.1	651.5	382.7	268.8	2018	258.7	437.2	283.4	153.8
2019	359.4	700.8	429.9	270.9	2019	207.7	364.3	263.2	101.1
2020	794.2	1168.4	453.3	715.1	2020	348.3	530.2	306.6	223.6
2021	419.4	729.9	478.7	251.2	2021	347.6	642.4	337.3	305.1
2022	330.6	564.9	485.8	79.1	2022	389.7	629.4	468.8	160.7
2023	434.7	649.7	526.0	123.7	2023	276.5	545.7	243.0	302.7
2024	482.0	813.1	468.5	344.5	2024	396.7	703.9	394.0	309.9
2025	466.2	926.5	548.3	378.1	2025	440.2	749.1	475.5	273.6
2026	684.7	684.7	526.2		2026	527.4	527.4	525.1	
2027			554.3		2027			396.2	
2028			607.5		2028			437.5	

Source: ING, IGM, Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (US\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	8.6	4.6	5.5	8.0	7.1	5.9							39.5
T2	13.9	2.5	0.0	4.8	4.0	4.5							29.7
Bank Capital	22.5	7.1	5.5	12.8	11.1	10.4							69.2
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	9.6	11.3	0.5	3.7	2.7	3.5	10.3	1.1	9.7	2.3	3.5	4.1	62.0
T2	6.7	4.0	3.7	0.8	0.5	5.5	4.8	4.3	4.8	1.5	1.8	1.4	39.8
Bank Capital	16.3	15.3	4.2	4.5	3.2	9.0	15.1	5.4	14.5	3.8	5.3	5.5	101.8

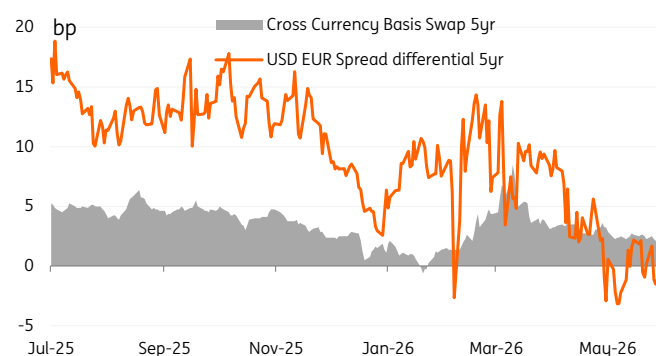
Source: ING, IGM, Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 (\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	4.7	18.5	4.1							67.7
Financial	5.1	11.6	0.3	1.4	1.8	2.3							22.4
Total	9.2	23.7	24.5	6.1	20.3	6.3							90.1
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.4	25.6	1.8	92.2
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.1	13.0	2.8	62.1
Total	11.1	17.6	8.5	20.8	14.1	10.3	10.2	2.1	9.3	7.5	38.6	4.5	154.3

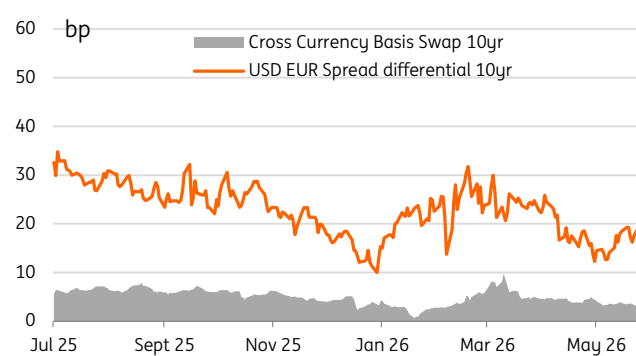
Source: ING, Dealogic

Fig 10 XCCY 5yr



Source: ING, IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING, IHS Markit, Refinitiv

Fig 12 US. Yankee and Reverse Yankee supply (US\$bn)

Corporates	Domestic	Yankee	Rev Yankee (\$)	Financials	Domestic	Yankee	Rev Yankee (\$)
2015	610.3	108.5	62.6	2015	302.7	127.1	28.9
2016	589.1	113.9	65.8	2016	282.3	114.0	45.6
2017	654.9	103.2	65.7	2017	312.7	111.9	35.6
2018	523.8	131.2	32.0	2018	306.6	131.7	18.1
2019	610.1	96.6	98.3	2019	269.2	96.2	29.1
2020	1031.2	152.3	68.9	2020	406.5	124.9	25.3
2021	628.3	108.4	63.8	2021	363.9	278.4	41.5
2022	486.3	90.6	34.0	2022	342.0	287.5	29.8
2023	559.8	106.1	44.0	2023	267.8	278.0	13.1
2024	688.6	144.2	65.3	2024	253.4	109.5	27.0
2025	794.7	145.8	92.2	2025	282.4	118.7	62.1
2026	612.2	84.4	68.2	2026	280.4	247.0	22.9

Source: ING, IGM

Fig 13 ESG supply per month 2026 (US\$bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	0.5	1.6	0.0	4.6	0.5	1.0							8.2
Social	0.0	0.0	0.0	0.0	0.0	0.0							0.0
Sustainable	0.0	0.0	0.0	0.0	0.0	0.0							0.0
ESG	0.5	1.6	0.0	4.6	0.5	1.0							8.2
Financial	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	1	0	0.8	0.5	1.5	0.3							4.1
Social	1	0.5	0	0	0.0	0							1.5
Sustainable	1.6	0	0	0	0.5	0							2.1
ESG	3.6	0.5	0.8	0.5	2.0	0.3							7.7

Source: ING, IGM, Dealogic

Fig 14 ESG supply per year and YTD (US\$bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	25.1	13.2	21.1	7.1	8.2	12.4	9.4	18.6	2.5	8.2
Social	0.1	0.1	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0
Sustainable	4.9	1.3	0.0	0.0	0.0	4.9	1.3	0.0	0.0	0.0
ESG	30.0	14.6	21.1	7.1	8.2	17.3	10.8	18.6	2.5	8.2
Financial	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	13.1	27.5	4.5	5.7	4.1	10.1	12.0	1.0	2.0	4.1
Social	3.6	6.3	5.5	4.1	1.5	3.6	2.0	0.5	1.7	1.5
Sustainable	8.7	7.9	10.9	2.2	2.1	4.0	1.6	7.5	0.4	2.1
ESG	25.4	41.7	20.9	11.9	7.7	17.7	15.6	9.0	4.1	7.7

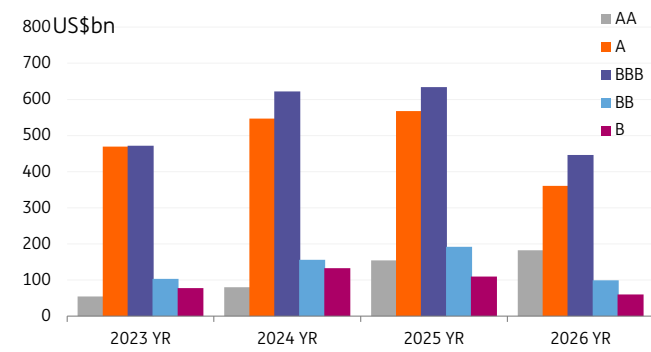
Source: ING, IGM, Dealogic

Fig 15 Corporates and banks issuance by maturity, 2026 and 2025 (US\$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2026
Corp 0-3yr	5.6	18.1	43.7	5.6	16.2	9.7							98.9
Corp 3-6yr	16.2	24.7	29.0	13.3	22.0	25.8							130.9
Corp 6-9yr	8.5	18.9	20.8	8.7	9.5	14.3							80.6
Corp 9-12yr	15.1	37.5	41.8	30.9	26.2	26.3							177.7
Corp 12-17yr	0.6	4.4	0.2	4.6	0.5	6.6							16.9
Corp 17yrs+	10.3	40.8	43.2	36.2	21.3	27.8							179.6
Bank 0-3yr	4.2	0.0	0.0	0.0	1.8	1.7							7.7
Bank 3-6yr	45.9	6.8	22.0	30.3	31.0	25.1							161.1
Bank 6-9yr	27.5	9.2	11.0	22.1	16.3	14.7							100.8
Bank 9-12yr	34.8	7.5	4.8	18.3	6.0	9.6							81.0
Bank 12-17yr	6.3	2.8	0.0	0.0	1.3	0.0							10.4
Bank 17yrs+	15.1	6.4	8.0	9.2	7.6	7.4							53.7
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2025
Corp 0-3yr	6.7	17.0	27.4	6.1	8.7	8.5	1.5	9.4	12.4	7.6	12.2	0.9	118.2
Corp 3-6yr	14.0	16.9	23.0	17.2	18.2	14.2	9.8	14.2	26.5	12.3	23.5	5.1	194.7
Corp 6-9yr	5.2	10.6	14.6	3.1	10.0	5.4	3.9	10.5	14.6	12.0	11.4	3.2	104.5
Corp 9-12yr	19.6	30.0	40.4	14.9	25.7	19.2	10.8	26.3	33.2	20.1	29.3	5.2	274.8
Corp 12-17yr	0.6	2.2	1.0	1.1	0.0	2.0	0.1	1.6	3.2	1.6	1.1	0.2	14.6
Corp 17yrs+	11.0	20.9	25.5	4.7	12.2	8.2	2.3	15.3	32.3	48.7	30.6	8.1	219.7
Bank 0-3yr	0.0	0.8	0.0	1.3	7.0	0.0	0.0	0.0	0.0	0.0	0.0	0.8	9.8
Bank 3-6yr	45.0	13.4	22.2	16.1	27.2	18.3	13.3	7.3	18.9	16.5	6.8	3.4	208.4
Bank 6-9yr	27.8	10.9	3.4	14.5	20.2	6.1	9.8	0.5	13.4	16.4	5.0	1.0	128.8
Bank 9-12yr	27.3	11.1	4.8	11.8	6.8	8.4	7.3	6.9	12.8	20.5	2.0	1.4	120.8
Bank 12-17yr	0.0	0.0	1.8	0.0	0.0	0.0	0.0	0.0	1.8	0.0	0.4	0.0	3.9
Bank 17yrs+	13.4	13.3	1.8	3.7	3.2	4.0	10.3	2.4	9.7	2.3	4.7	4.1	72.6

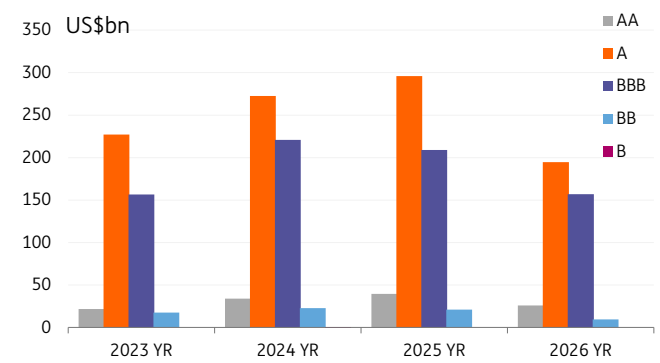
Source: ING, IGM, Dealogic

Fig 16 Corporate supply per S&P rating (US\$bn)



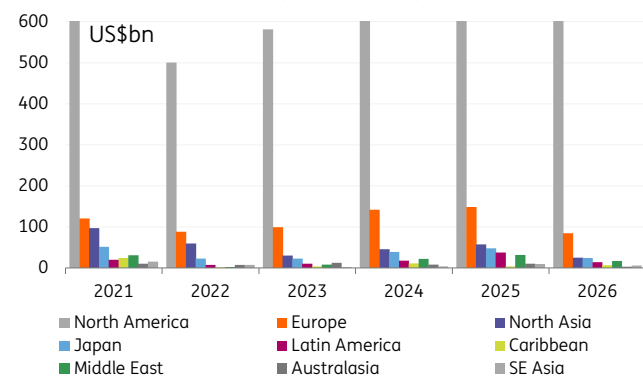
Source: ING, Dealogic

Fig 17 Financial supply per S&P rating (US\$bn)



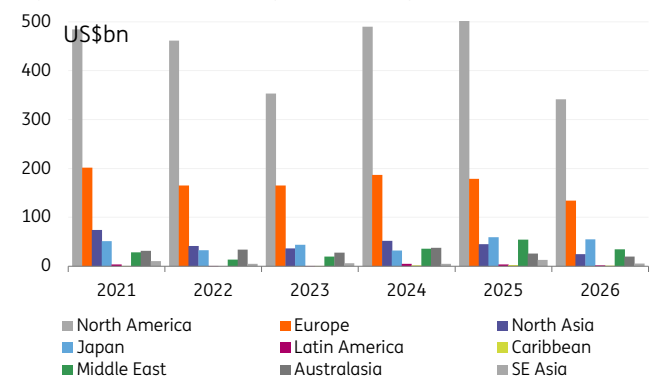
Source: ING, Dealogic

Fig 18 Corporate supply per country (US\$bn)



Source: ING, Dealogic

Fig 19 Financial supply per country (US\$bn)



Source: ING, Dealogic

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“**ING**”) solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies). The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit <https://www.ing.com>.

6 July 2026

Credit Strategy

Supply for June (€bn)

	Corporates	Financials
Jun	51.3	42.0

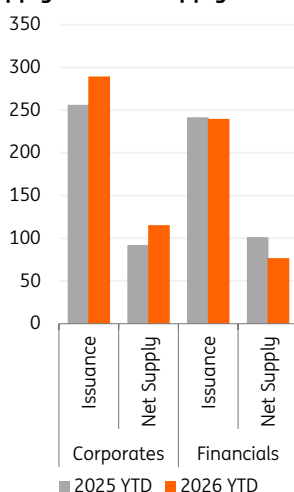
Source: ING, Dealogic

Supply FY and YTD (€bn)

Corporates	FY	YTD
2020	444	317
2021	336	201
2022	252	156
2023	304	185
2024	394	242
2025	455	259
2026	289	289
Financials	FY	YTD
2020	230	157
2021	258	151
2022	276	158
2023	308	204
2024	323	202
2025	415	245
2026	224	224

Source: ING, Dealogic

Supply and Net Supply YTD



Source: ING, Dealogic

Timothy Rahill

Credit Strategist
timothy.rahill@ing.com

Marine Leleux

Sector Strategist, Financials
marine.leleux2@ing.com

Euro Credit Supply

Supply continues at a strong pace



June corporate supply remains strong

- Corporate supply was still very active in June, with €51bn issued over the month. While this marks a slowdown from the very heavy €68bn seen in May, it is still ahead of most previous Junes and brings YTD supply to €289bn, comfortably above the €259bn seen at this stage in 2025. Net supply also remained positive, with June adding roughly €17bn.
- June supply was spread across sectors, led by Utilities and TMT. TMT issuance normalised after the very large €23bn printed in May, falling to €10bn in June, although the sector remains the largest contributor to YTD corporate supply at €76bn and continues to run well ahead of last year. Consumer and Healthcare remained quiet, with Healthcare still the clear laggard on a YTD basis (-55% YoY).
- ESG issuance stood out in June reaching €18bn, the highest monthly print of the year so far bringing YTD levels to €64bn a record level since the highs of 2021.
- Corporate hybrids also picked up again in June after the slowdown seen in May, with another €4bn issued over the month. This takes YTD hybrid supply to €36bn, double last year's level at this stage, and keeps hybrids as one of the clearest differences versus 2025 alongside Reverse Yankee and TMT supply.

Financials' supply remains strong in June

- Banks remained very active in the primary market last month with €52bn printed across the liability structure, just a slight €2bn drop compared to May levels. Nearly half of that number stems from the covered bond segment with €23.5bn supplied (including benchmark and sub-benchmark instruments), making it the highest issuance level since February this year. Last month's supply brings covered bond issuances to a little over €124bn on a YTD basis, still a comfortable €20bn ahead of 2025 YTD.
- The senior unsecured supply also remained high in June, although noting a slight drop MoM with €24bn. This is split with just over €10bn in senior preferred instruments and another €13bn in senior bail-in bonds. While senior preferred issuances lie €7bn behind the 2025 level at €48bn, the drop is compensated by the senior bail-in supply, which is up €6bn at €93bn in 2026 YTD.
- The subordinated segment is the only one in which we note a drop in supply over June, mainly stemming from AT1 instruments where only €1.1bn was printed last month. Another €4bn was issued in Tier 2 bonds. This brings the supply to just over €10bn and €20bn for AT1 and Tier 2 instruments respectively in the first half of 2026.

Fig 1 Euro corporate supply overview (€bn)

	2022	2023	2024	2025	2025 Jun	2026 May	2026 Jun	2025 YTD	2026 YTD	% diff
Auto	26	50	56	48	7	11	8	32	36	14%
Consumer	25	50	49	61	5	6	1	33	30	-10%
Healthcare	25	18	35	41	3	3	1	25	11	-55%
Industrial & Chemicals	45	55	73	65	6	9	7	39	37	-4%
Real Estate	24	7	24	38	5	2	5	19	19	3%
TMT	32	43	52	98	8	23	10	52	76	46%
Utility	56	54	67	62	8	8	12	37	50	37%
Oil & Gas	2	9	10	14	5	2	2	11	11	-7%
Others	16	16	26	28	2	3	5	11	21	83%
Corporate Hybrid	12	15	26	38	5	1	4	18	36	103%

Source: ING. Dealogic

Fig 2 Euro financial supply overview (€bn)

	2022	2023	2024	2025	2025 Jun	2026 May	2026 Jun	2025 YTD	2026 YTD	% diff
Bank Senior	196	226	198	233	17	26	24	142	141	-4%
of which NPS	73	112	118	149	9	14	13	87	93	3%
of which Pref	123	114	80	83	8	12	10	55	48	-17%
Bank Capital	27	29	56	60	6	9	5	39	30	-30%
Financial Services	37	40	50	95	7	5	11	51	39	-22%
Insurance	16	13	20	25	4	4	2	17	14	-16%
Covered	212	188	159	160	21	19	23	105	124	18%

Note: Dealogic sorts some Banks into the Financial Services sector

Source: ING. Dealogic

Fig 3 Euro corporate supply and net supply by month (€bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	37.5	14.2	45.7	10.2	31.6	16.4	2.7	14.7	24.5	23.2	30.3	1.0	251.9
2023	40.2	27.6	25.3	18.0	48.0	26.0	12.1	22.3	32.5	7.8	39.6	4.3	303.5
2024	37.8	41.4	42.2	34.2	54.4	32.1	15.8	30.7	44.3	25.1	32.4	3.7	393.9
2025	36.0	42.8	28.0	31.1	69.1	49.3	22.8	17.4	52.6	27.7	70.0	8.3	455.0
2026	45.1	39.7	50.1	35.2	68.1	51.3							289.4
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	15.6	-3.0	17.2	-7.7	13.0	-8.9	-11.8	7.8	-2.8	13.3	8.4	-11.6	29.2
2023	18.8	4.1	-5.2	-4.1	26.6	4.5	-3.4	15.1	-4.2	-10.6	18.0	-1.6	58.1
2024	8.8	24.4	18.9	9.7	26.4	12.8	-10.1	29.4	14.1	1.2	13.6	-12.6	136.4
2025	12.6	20.8	-9.9	-2.3	43.5	27.5	4.1	8.4	19.7	14.3	44.3	-5.7	177.3
Redemptions	21.9	18.3	33.4	27.4	38.8	34.1	17.7	12.4	33.8	26.1	28.8	11.7	304.3
2026	23.1	21.4	16.7	7.8	29.2	17.2							115.5

Redemptions shown for 2026 only

Source: ING. Dealogic

Fig 4 Euro financial supply and net supply by month (€bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	36.6	22.5	28.9	20.8	30.5	18.8	6.0	25.0	24.4	16.0	43.1	3.8	276.5
2023	68.1	25.6	16.2	25.2	36.6	31.3	8.9	17.2	36.6	14.5	26.6	2.5	309.1
2024	56.9	26.4	34.3	29.3	33.6	19.2	21.1	19.0	40.8	19.8	17.5	4.3	322.2
2025	57.4	42.1	34.0	22.9	50.6	33.6	21.5	29.8	34.8	27.0	49.5	10.5	413.6
2026	59.6	44.7	11.8	23.2	43.4	42.0							224.6
Net Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	2.2	1.8	6.0	2.7	16.7	4.2	-5.1	15.1	-0.1	-0.9	30.7	-8.1	65.1
2023	49.9	17.7	-10.9	11.7	18.2	11.8	-6.9	8.7	15.5	-2.9	13.9	-3.1	123.6
2024	39.9	12.2	21.2	10.1	6.1	-4.8	6.9	14.5	24.1	11.2	7.9	-2.9	146.4
2025	26.2	23.1	7.3	1.8	28.2	13.8	2.5	22.2	16.7	14.4	27.9	2.4	186.4
Redemptions	32.9	21.4	24.6	17.4	28.5	30.0	13.2	3.8	33.1	22.2	28.1	9.1	264.1
2026	26.8	23.3	-12.8	5.8	14.9	12.0							69.9

Covered Bonds excluded from aggregate throughout. Redemptions shown for 2026

Source: ING. Dealogic

Fig 5 Corporate supply and redemptions by month. 2026 (€bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Autos	7.1	2.5	5.1	2.2	11.2	8.5							36.5
Consumer	4.5	5.9	8.7	3.6	6.2	0.9							29.7
Healthcare	0.0	0.0	0.5	5.9	3.3	0.7							10.4
Industrial	5.6	3.4	8.6	4.2	8.7	6.7							37.1
Real Estate	4.5	1.9	0.8	4.1	2.3	5.1							18.6
TMT	9.2	11.8	16.7	5.1	23.2	9.7							75.5
Utility	11.8	9.0	3.2	6.8	8.0	11.9							50.5
Oil & Gas	1.0	1.5	3.0	0.8	2.0	2.4							10.7
Others	1.6	3.9	3.7	2.7	3.3	5.5							20.5
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Autos	4.6	3.6	4.5	3.4	5.9	3.9	4.4	4.2	3.9	3.3	5.2	0.3	46.9
Consumer	2.4	3.1	6.0	3.4	6.4	4.0	0.6	2.1	3.3	2.2	2.2	0.2	35.8
Healthcare	2.5	0.8	3.6	0.0	4.1	3.6	0.6	1.0	5.5	2.6	2.8	1.1	28.1
Industrial	1.7	0.9	6.6	7.5	7.9	4.4	5.2	0.5	5.9	4.3	7.9	1.0	53.5
Real Estate	5.3	1.2	2.8	1.9	2.4	3.4	3.1	1.1	1.8	1.0	2.0	0.7	26.4
TMT	1.2	3.1	4.9	5.6	4.6	3.3	1.6	1.8	8.0	2.8	3.4	2.4	42.4
Utility	3.3	0.8	2.2	3.7	5.2	4.7	1.0	1.6	1.9	7.1	2.9	3.7	37.9
Oil & Gas	0.5	3.6	2.6	1.0	1.8	0.0	0.0	0.0	0.9	1.0	0.6	1.5	13.4
Others	0.7	1.4	0.3	1.0	0.7	6.8	1.4	0.1	2.8	2.0	1.8	0.8	19.8

Source: ING. Dealogic

Fig 6 Financial supply and redemptions by month. 2026 (€bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Bank Senior	40.8	29.7	5.8	15.5	25.7	23.6							140.9
of which NPS	26.0	25.8	3.0	10.9	13.9	13.3							92.8
of which Pref	14.8	4.0	2.8	4.6	11.8	10.3							48.1
Bank Capital	8.8	4.3	0.0	3.2	9.0	5.1							30.3
Financial Services	6.2	8.5	5.4	2.8	5.1	11.0							39.0
Insurance	3.9	2.2	0.6	1.8	3.6	2.3							14.4
Covered	29.3	25.2	11.5	15.9	19.2	23.5							124.4
Redemptions	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Bank Senior	20.9	16.5	14.5	12.8	12.7	19.5	9.8	2.5	21.5	17.2	17.8	6.3	171.7
of which NPS	6.5	8.0	5.5	5.5	6.5	13.3	7.1	0.0	13.4	12.2	7.8	3.5	89.1
of which Pref	14.4	8.5	9.0	7.3	6.2	6.3	2.8	2.5	8.1	5.0	10.0	2.8	82.7
Bank Capital	4.1	1.3	6.3	1.6	9.4	5.2	0.2	0.0	3.8	1.1	3.3	1.3	37.3
Financial Services	7.1	3.3	3.8	2.3	2.6	5.3	1.9	1.3	6.0	2.9	6.3	1.6	44.5
Insurance	0.8	0.3	0.0	0.8	3.8	0.0	1.3	0.0	1.9	1.1	0.7	0.0	10.7
Covered	20.1	20.4	17.7	13.1	6.0	11.0	11.1	8.5	16.3	18.6	9.0	3.9	155.4

Source: ING. Dealogic

Fig 7 Euro supply, redemptions and net supply by year (€bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	181	276	122	154	2015	145	258	321	-63
2016	177	306	144	162	2016	151	234	262	-28
2017	198	326	155	171	2017	128	224	269	-45
2018	161	282	157	125	2018	116	225	182	43
2019	204	392	170	222	2019	119	267	186	81
2020	317	444	201	242	2020	126	230	192	38
2021	201	336	213	123	2021	127	258	169	89
2022	156	252	223	29	2022	141	276	211	65
2023	185	304	245	58	2023	175	309	185	124
2024	242	394	258	136	2024	180	322	176	146
2025	259	455	278	177	2025	207	414	227	186
2026	290	290	304		2026	225	225	264	
2027			318		2027			263	
2028			307		2028			256	
2029			290		2029			242	

Source: ING. Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	1.7	3.5	0.0	0.8	3.3	1.1							10.3
T2	7.1	0.8	0.0	2.4	5.8	4.0							20.0
Bank Capital	8.8	4.3	0.0	3.2	9.0	5.1							30.3
Corp Hybrids	7.6	9.5	4.9	9.6	0.9	3.7							36.2
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	1.7	3.7	2.1	0.0	5.7	2.4	0.0	0.0	2.5	0.6	5.7	0.0	24.3
T2	6.6	6.0	2.5	0.7	3.5	3.8	1.4	5.0	0.5	0.8	4.8	0.0	35.4
Bank Capital	8.3	9.7	4.6	0.7	9.2	6.2	1.4	5.0	3.0	1.4	10.4	0.0	59.7
Corp Hybrids	4.8	0.0	1.7	0.9	5.9	4.6	1.0	0.5	6.1	4.2	7.4	0.6	37.5

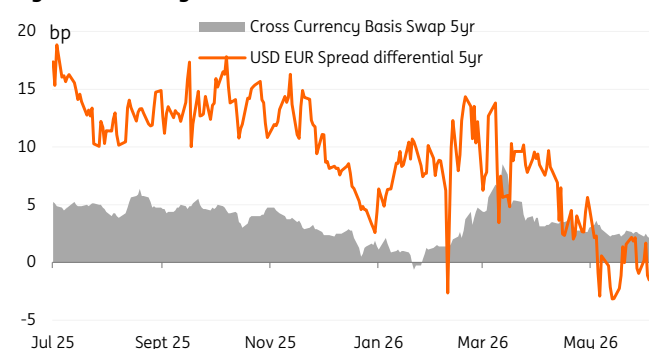
Source: ING. Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	4.7	18.5	4.1							67.7
Financial	5.1	11.6	0.3	1.4	1.8	2.3							22.4
Total	9.2	23.7	24.5	6.1	20.3	6.3							90.1
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.4	25.6	1.8	62.1
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.1	13.0	2.8	154.3
Total	11.1	17.6	8.5	20.8	14.1	10.3	10.2	2.1	9.3	7.5	38.6	4.5	216.5

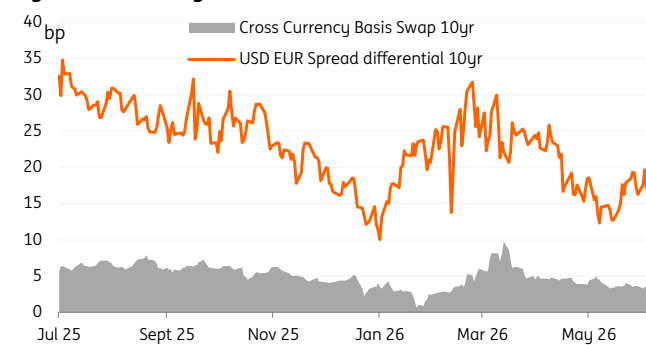
Source: ING. Dealogic

Fig 10 XCCY 5yr



Source: ING. IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING. IHS Markit, Refinitiv

Fig 12 European. Yankee and Reverse Yankee supply (€bn)

Corporates	European	Yankee (US\$)	Rev Yankee	Financials	European	Yankee (US\$)	Rev Yankee
2015	145.6	108.5	62.6	2015	148.6	127.1	28.9
2016	173.7	113.9	65.8	2016	133.9	114.0	45.6
2017	192.2	103.2	65.7	2017	130.3	111.9	35.6
2018	181.1	131.2	32.0	2018	126.2	131.7	18.4
2019	231.1	96.6	98.3	2019	171.6	95.8	29.2
2020	283.1	152.3	68.9	2020	152.6	125.3	25.3
2021	182.9	108.4	63.8	2021	137.8	167.0	41.6
2022	161.0	90.6	34.0	2022	165.8	147.3	29.8
2023	190.1	106.1	44.0	2023	208.8	150.4	13.1
2024	233.0	144.2	65.3	2024	201.7	167.2	27.1
2025	259.1	145.8	92.2	2025	217.7	164.6	62.1
2026	159.9	84.4	67.7	2026	154.5	120.2	18.2

Source: ING

Fig 13 ESG supply per month 2026 (€bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	13.1	6.7	3.8	7.3	9.5	16.2							56.6
Social	1.8	0.0	0.0	1.0	0.0	0.9							3.7
Sustainable	0.9	0.5	0.1	0.0	1.4	1.0							3.8
ESG	15.7	7.2	3.9	8.3	10.9	18.1							64.1
Financial	Jan	Feb	Mar	Apr	May	June	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	5.4	8.5	2.5	4.9	10.6	9.1							40.9
Social	1.0	0.5	0.0	0.0	0.0	0.0							1.5
Sustainable	0.0	0.0	0.0	0.0	0.0	0.0							0.0
ESG	6.4	9.0	2.5	4.9	10.6	9.1							42.4
Covered	Jan	Feb	Mar	Apr	May	June	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	0.0	2.3	1.5	1.1	2.0	2.5							9.4
Social	0.0	1.0	0.0	0.0	0.6	0.0							1.6
Sustainable	0.0	0.0	0.0	0.0	0.0	0.0							0.0
ESG	0.0	3.3	1.5	1.1	2.6	2.5							11.0

Source: ING. Dealogic – classified as ESG under Dealogic

Fig 14 ESG supply per year and YTD (€bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	61.7	64.1	87.6	77.9	57.1	36.7	35.7	54.5	39.2	56.6
Social	3.1	0.5	5.0	2.4	3.7	2.4	0.5	4.9	2.4	3.7
Sustainable	4.3	0.6	2.8	4.7	3.8	2.6	0.0	1.9	3.2	3.8
ESG	69.1	65.3	95.4	85.0	64.6	41.7	36.3	61.3	44.7	64.1
Financial	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	40.6	47.4	46.3	49.6	40.9	20.4	30.8	24.8	23.2	40.9
Social	5.3	7.8	6.8	8.0	1.5	2.0	4.5	1.8	5.8	1.5
Sustainable	0.8	3.1	1.7	2.3	0.0	0.3	1.3	1.0	1.3	0.0
ESG	46.7	58.2	54.8	59.9	42.4	22.7	36.5	27.6	30.3	42.4
Covered	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	16.8	47.1	11.3	12.5	9.4	8.5	47.1	9.5	9.3	9.4
Social	2.6	22.7	6.4	3.6	1.6	2.1	22.7	2.6	2.4	1.6
Sustainable	0.5	0.0	0.5	1.6	0.0	0.5	0.0	0.0	1.0	0.0
ESG	19.9	69.8	18.1	17.7	11.0	11.1	69.8	12.1	12.6	11.0

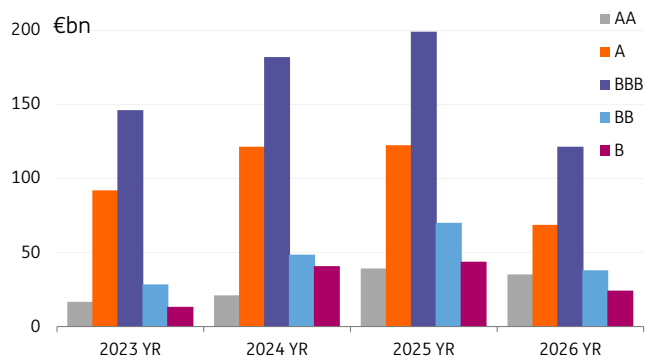
Source: ING. Dealogic - classified as ESG under Dealogic

Fig 15 Investment grade issuance by maturity, 2026 and 2025 (€bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
Corp 0-3yr	6.0	3.4	7.0	3.0	11.0	6.2							36.6
Corp 3-6yr	8.0	6.5	11.2	5.2	20.1	12.9							64.0
Corp 6-9yr	13.4	9.8	10.9	11.0	23.0	16.2							84.3
Corp 9-12yr	3.6	5.3	8.1	3.6	5.5	8.1							34.0
Corp 12yrs+	14.2	14.6	12.9	12.3	8.5	8.0							70.5
Bank 0-3yr	3.5	6.3	1.3	0.0	2.0	6.6							19.6
Bank 3-6yr	21.2	11.7	2.8	12.2	15.3	10.2							73.2
Bank 6-9yr	6.5	6.3	1.8	3.3	7.9	7.0							32.6
Bank 9-12yr	17.4	6.5	0.0	3.2	9.5	5.0							41.5
Bank 12yrs+	1.0	3.3	0.0	0.0	0.0	0.0							4.3
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
Corp 0-3yr	4.1	3.5	2.1	1.9	9.6	5.3	2.4	3.6	10.2	1.2	7.9	2.2	53.8
Corp 3-6yr	7.4	7.3	7.4	4.5	15.8	10.5	5.3	1.9	10.7	4.9	11.5	3.2	90.3
Corp 6-9yr	10.3	16.1	9.8	12.1	17.3	19.8	5.6	6.0	16.0	12.4	17.4	2.3	144.9
Corp 9-12yr	4.9	5.4	5.5	4.7	12.2	5.2	2.4	2.4	4.9	1.7	9.2	0.0	58.4
Corp 12yrs+	9.3	10.5	3.2	8.1	14.2	8.6	7.3	3.5	10.7	7.6	24.0	0.6	107.6
Bank 0-3yr	10.6	3.5	4.5	2.5	0.3	2.9	1.3	2.0	1.3	1.0	2.0	3.3	35.1
Bank 3-6yr	18.8	9.3	9.6	7.9	17.2	13.0	6.7	4.8	7.8	8.2	14.8	2.4	120.4
Bank 6-9yr	13.0	9.4	3.6	0.5	7.8	0.8	1.0	5.8	9.3	5.4	7.9	0.0	64.3
Bank 9-12yr	10.3	13.8	3.5	5.9	7.0	7.8	3.2	9.3	4.8	3.3	7.5	0.0	76.2
Bank 12yrs+	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1.0	0.0	1.0

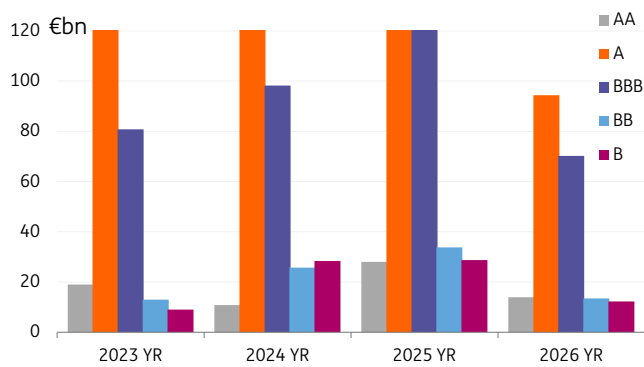
Source: ING. Dealogic

Fig 16 Corporate supply per S&P rating (€bn)



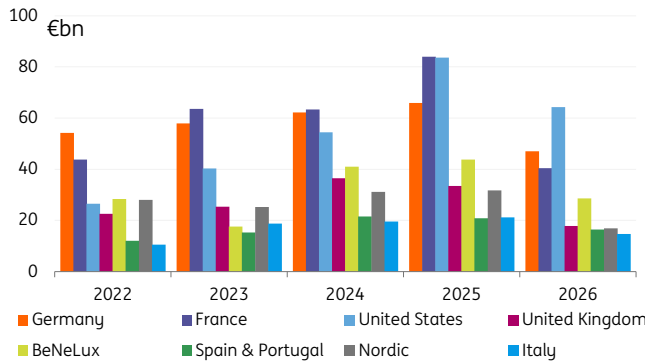
Source: ING. Dealogic

Fig 17 Financial supply per S&P rating (€bn)



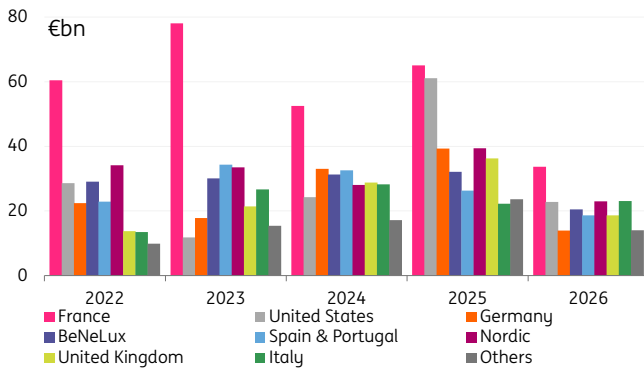
Source: ING. Dealogic

Fig 18 Corporate supply per country (€bn)



Source: ING. Dealogic

Fig 19 Financial supply per country (€bn)



Source: ING. Dealogic

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“**ING**”) solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies). The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit <https://www.ing.com>.

Article | 6 July 2026

RATES

EUR Money Markets: Some signs of tightening conditions

Easing energy prices have taken a July European Central Bank rate hike off the table, but September remains in play. Liquidity still looks ample, but there are some signs of increasing tightness. A doubling of the reserve requirement as mulled by the ECB risks an uneven tightening impact



ECB policy outlook: Easing back from the energy shock

The 60-day ceasefire in the Middle East has seen oil prices drop close to pre-war levels. This has clearly eased inflation concerns, not just in the market but also among central bank officials.

ECB officials have been cautious not to sound too dovish, however. Clearly, a hike in July has become unlikely, but the idea of further policy tightening down the road has been kept alive. For one, there are clear risks around the deal in the Middle East and a re-escalation with another spike in energy prices remains a possibility. Secondly, the ECB will still want to monitor how the energy situation percolates through the economy before committing to any path.

Markets have already made up their minds. A hike in July is off the table, while September looks to be a coin toss. If anything, we think the ECB will act before the end of the year, and

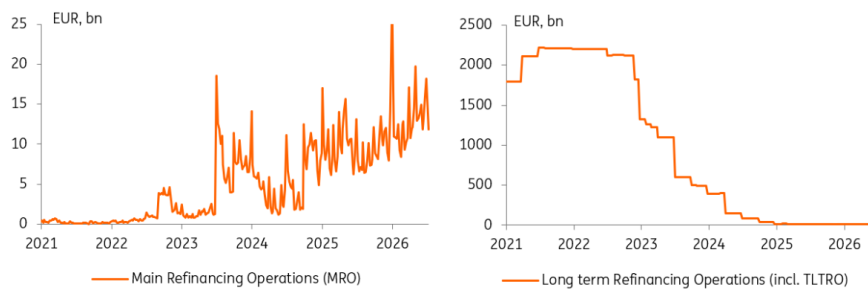
looking further along the curve, the market is just shy of fully discounting another hike from the ECB.

We think the market can maintain its dovish bias for front-end rates if, on average, energy prices stay at benign levels and inflation does not surprise to the upside due to second-round effects. But it will be a slow process, as such risks will be priced out over time as data materialises and ECB officials gradually shift to a more balanced tone. But for now, our economists are keeping a second rate hike in play.

Liquidity and funding conditions: Still ample, but some signs of tightening conditions

Excess liquidity in the banking system continues to contract as the ECB rolls off its bond holdings. The current level of €2.2tr still appears ample, and that view is corroborated by the still very muted uptake in the ECB's regular liquidity providing operations. Banks are picking up €12bn in the weekly operation and another €13bn via the three 3m longer-term operations.

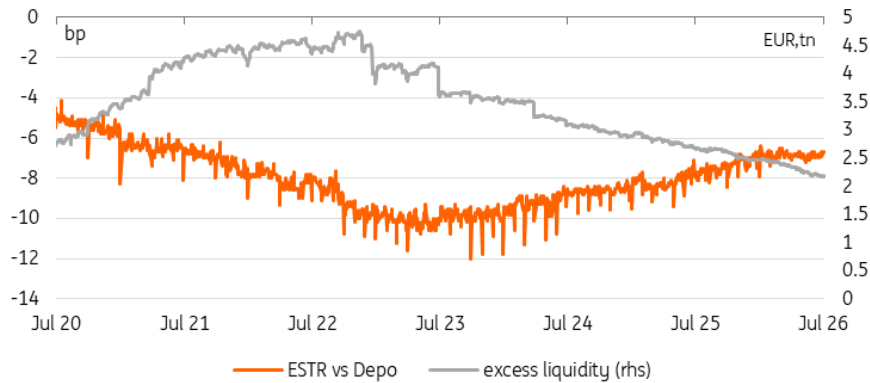
Banks' pick up of liquidity from the ECB is rising only slowly



Source: ECB, ING

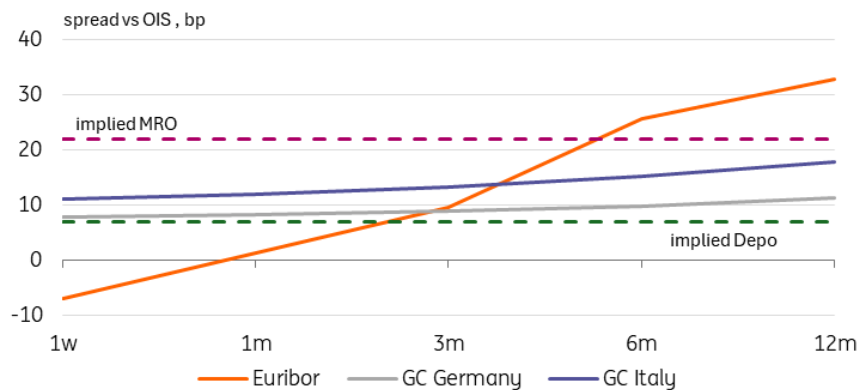
That said, there are also signs that funding conditions are gradually turning tighter, especially around quarter-ends. For instance, banks had picked up a slightly higher €18bn in the weekly operation, and we had seen somewhat higher recourse to the marginal lending facility into the turn of the quarter – just below €1bn still, but an increase in volumes compared to previous turns.

Excess reserves continue to trend lower, but the rise in ESTR as stalled



Repo markets have seen a more pronounced increase in general collateral (GC) rates over the turn of the quarter. Overnight Repo fund GC rates for Germany rose 3.5bp above prior levels and by more than 5bp for Italy, although the broader GC pooling basket only saw a relatively muted uptick. Overall, we are still facing excess liquidity levels where the reaction of short-term funding rates to any smaller changes remains limited, resulting in the slow updrift witnessed over the past years. Of late, that updrift seems to have stalled somewhat.

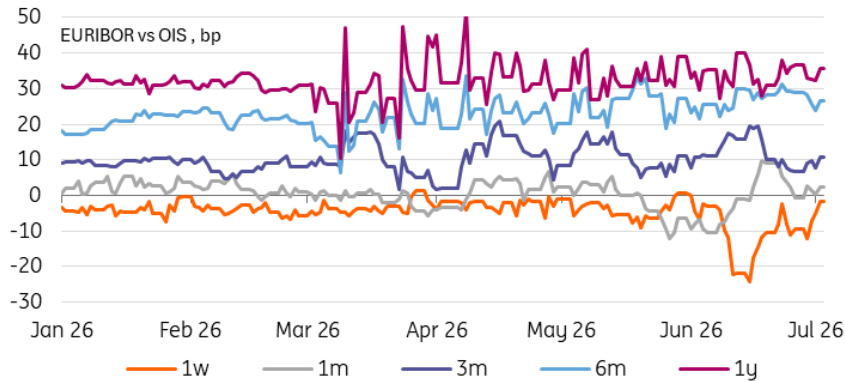
Repo rates remain within ECB rate channel, unsecured steepened



Source: Refinitiv, ING repo desk, ING

If we look further out the funding curve we see the usual relative steepness of the Euribor curve. With the onset of the Middle East crisis, front-end rates have become more volatile in general, which has also been reflected in the spread volatility. While things have normalised somewhat, the 6m and 1y term spreads, especially, remain at wider levels.

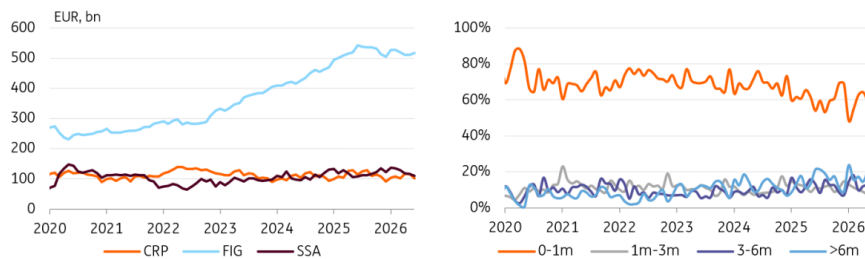
The Euribor/OIS structure has become steeper and more volatile



Source: Refinitiv, ING

EUR funding volumes by banks (FIG) in the commercial paper (CP) market are up marginally from the end of last year. Looking at the maturity composition of banks' unsecured CP funding since the Middle East crisis began, one can observe first a focus on short maturities, and then, as funding moved further out again, a focus on the 6m and longer tenors over the course of June.

Outstanding CP/CD and banks' CP issuance by maturity bucket



Source: CMD, ING

The ECB has revived the minimum reserves discussion to cut its losses

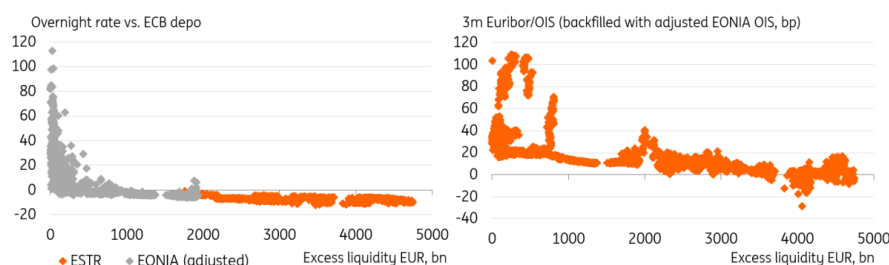
Reuters reported last week that the ECB was considering raising the amount of reserves banks are required to hold at the ECB on average – not immediately, but potentially in the autumn. Crucially, this Minimum Reserve Requirement (MRR) is not remunerated, unlike reserves parked at the deposit facility, which currently earns banks 2.25% in interest. Doubling the MRR is estimated to save the ECB close to €4bn annually, and more if interest rates were to be increased further.

The original purpose of the MRR was to create a liquidity deficit in a system where the ECB is

the sole supplier of liquidity – via this monopoly, the ECB had a means to implement its monetary policy stance in the market via its liquidity operations. But the MRR no longer serves that purpose in a time when the ECB has injected multiples of the MRR as excess liquidity into the banking system via quantitative easing. Market rates are determined by the interest earned in the deposit facility, where banks park their excess liquidity.

With excess liquidity currently at €2.2tr, the impact of a €174bn one-off reduction, which the doubling of the MRR would effectively result in, could be expected to be marginal. It would push us closer to a level of excess liquidity where funding rates are anticipated to react more sensitively to any changes, though. We have seen market expectations of Euribor/OIS spreads already nudge slightly higher on the back of the headlines.

The system is closing in on reserve levels where rates react more sensitively



Source: Refinitiv, ECB, ING

Looking deeper into potential knock-on effects, it is important to note that required reserves do not count towards banks' Liquidity Coverage Ratios. And that excess liquidity is not distributed equally.

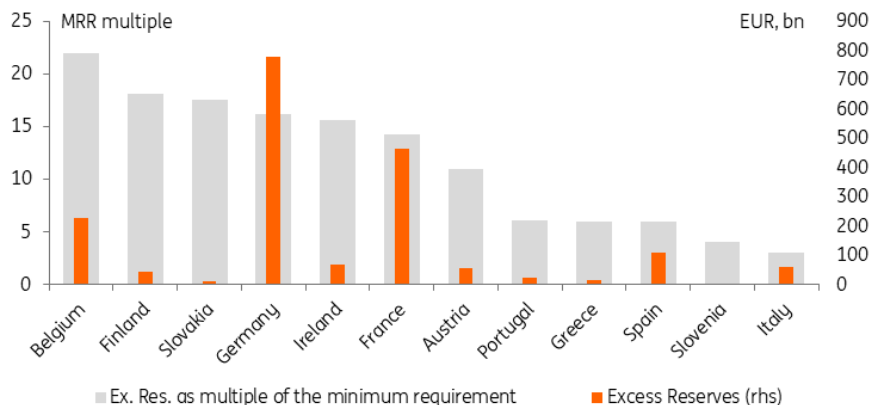
On a country level, we can see that Italy, Spain and Portugal hold excess liquidity to the tune of 3 to 6 times their respective MRR, whereas we are looking for multiples close to 15 for e.g. France and Germany. One could argue that redistribution of liquidity within the Eurosystem is currently happening relatively smoothly, but certainly some jurisdictions would feel a greater squeeze.

Liquidity is also not distributed proportionally across banks, as had been pointed out in the discussions [when the ECB first floated the idea of increasing the MRR](#), back then by even more than just doubling it. Crucially, those banks that hold the excess liquidity are not necessarily the ones holding deposits, which ultimately serve as a basis for the calculation of a bank's MRR. And those banks holding disproportionately larger deposits tend to be smaller banks that would then be penalised.

Looking at who taps into the ECB's liquidity operations currently – as seen above at still very moderate levels on aggregate – it is mainly Italy, and surprisingly, also Germany. The former

reflects the already low levels of excess reserves in Italy, whereas the latter likely points to the situation of smaller banks.

Excess reserves are not distributed equally across countries and banks



Source: ECB, ING

The ECB's endgame remains to get to an environment where the banking system operates with lower levels of excess reserves, at levels determined by banks themselves in a self-balancing manner, with the ECB liquidity operations seen becoming an integral part of banks' liquidity planning. The result is higher short-term market funding rates closer to the MRO as we see more reliance on the ECB's liquidity operations. The more structural liquidity needs would be covered by long-term liquidity operations and a bond portfolio (but substantially smaller than now).

The desire to cut losses and get to that situation more quickly is understandable. This year there will be a review of the operational framework changes that were introduced in 2024, which can explain the timing of the headlines. But we doubt it is worth the risks of disrupting the gradual path toward the envisaged way of conducting monetary policy that the ECB has worked so hard to keep in the background.

Author

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for

THINK economic and financial analysis

information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 6 July 2026

RATES UNITED KINGDOM

GBP Money Markets: Bank of England is supporting liquidity

Liquidity conditions look very healthy, and stable bank reserves are helping money markets. We think the terminal rate priced in by markets is too high and prefer positioning further out the curve. Tweaks to the Discount Window Facility increase the system's resilience against liquidity shocks

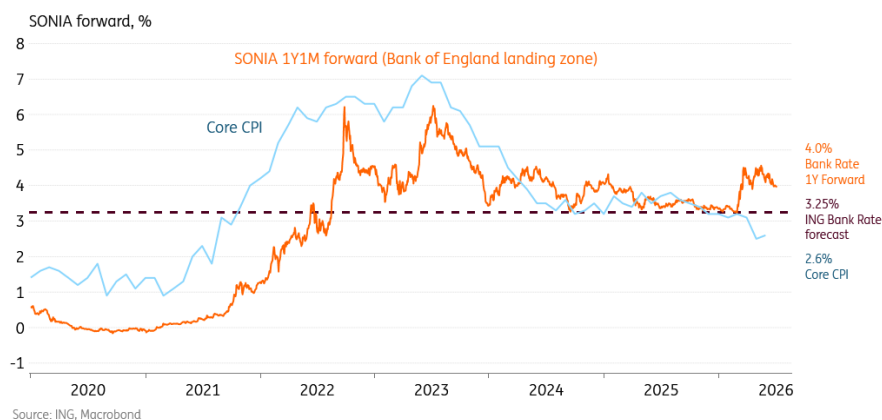


Stable reserves – thanks to the Bank of England's liquidity facilities – are supporting money market conditions

High Bank of England terminal rate favours terming out

Money market curves are still positioned for a Bank of England hike later this year, but the sharp decline in oil prices has turned sentiment more dovish. Only around 20bp of hikes are priced in for this year, and this could still go lower once the risks of second-round inflation effects are better understood. Whilst we still acknowledge the chance of another hike, we disagree with markets' perceived terminal rate of 4%. We expect price pressures to ease in 2027, allowing the BoE to cut the policy rate to 3.25%. As such, we see more value further out the curve.

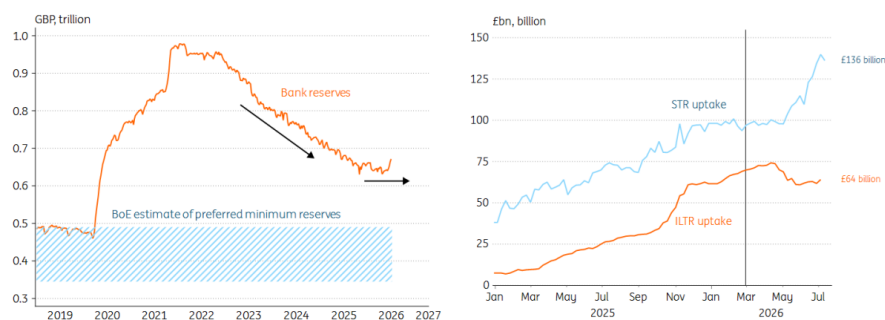
We think markets are pricing in a too high terminal Bank Rate



Liquidity conditions benefit from stable reserves

Despite the increased volatility in rates, liquidity conditions have remained very healthy. Overall bank reserves have actually increased thanks to a strong pickup in the Bank of England's liquidity facilities. The uptake of the Short-Term Repo (STR) increased to £134bn, almost double that in July last year.

Pickup in BoE liquidity facilities helped reserves stabilise for now



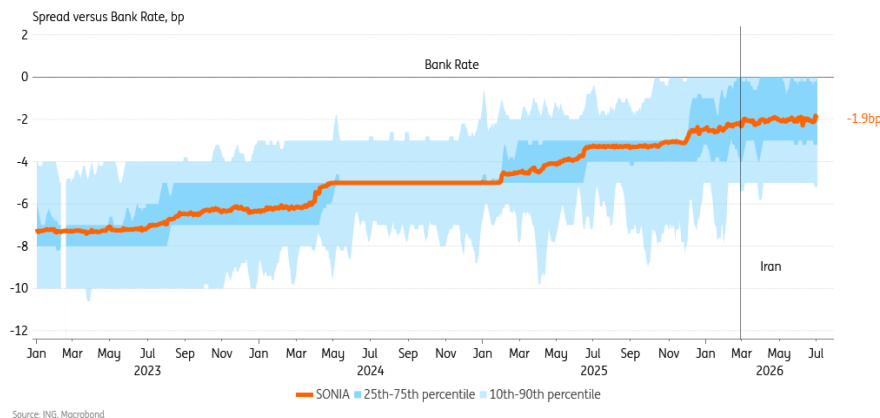
We've previously signalled that the [upward pressure on gilt yields](#) might trigger a review of the Bank of England's pace of quantitative tightening in September. Right now, the BoE targets £70bn of unwinding annually, which, all else equal, would reduce reserves by a similar amount. If this number gets reduced to say £50bn, the withdrawal of bank reserves from the system would proceed at a slower pace. In effect, this would further support liquidity conditions going forward.

Overnight deposit rates are comfortable at current levels

SONIA is now trading at just 2bp below the Bank Rate and could remain there for longer. The Bank Rate provides a soft ceiling which limits further upside. Around 25% of banks are now offering the Bank Rate for attracting deposits, but we also see around 10% of banks offering around 5bp below the Bank Rate. As reserves stay around current levels, we shouldn't see much movement in the pricing of SONIA.

Having said that, in the future, banks could start paying more than the Bank Rate to attract reserves. SONIA is based on unsecured borrowing between financial institutions. In contrast, obtaining liquidity from the Bank of England facilities requires collateral. The Short Term Repo facility, for example, requires high-quality collateral like gilts. So even though the STR is priced at the Bank Rate, obtaining funding through the market might still be preferred when possible.

SONIA seems comfortable around 2bp below the Bank Rate



The system is made more resilient against unexpected liquidity shocks

The Bank of England's efforts to keep liquidity risks to a minimum are also reflected in the latest tweaks to the Discount Window Facility. In contrast to the STR and ILTR, this window also allows for intra-week and intra-day liquidity. To discourage structural use, the Bank of England sets the pricing of this facility at a relatively high spread versus the Bank Rate. But the latest changes have reduced this premium. Where initially the facility would cost up to 150bp above the Bank Rate (for lowest collateral quality), this has been reduced to just 50bp. For the highest level of collateral quality, the spread is now just 15bp.

In effect, the Bank of England has strengthened the system against unexpected liquidity shocks. The new pricing of the DWF is less punitive than before, which should hopefully also reduce the stigma surrounding its use. These changes are also in line with the broader strategy to make central bank liquidity a more integral part of banks' liquidity planning. Easier and

cheaper access to BoE liquidity allows banks to operate at lower reserve levels.

Author

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 29 June 2026

COMMODITIES, FOOD & AGRI ENERGY

The curious case of collapsing oil prices

Oil prices have sold off aggressively following the US-Iran Memorandum of Understanding. While we believe the move is overdone, we look at some of the reasons behind the strong pullback in prices



The oil market is treating this temporary US-Iran ceasefire as a permanent deal. This is clearly not the case.

The oil market prices in a quick recovery of Persian Gulf supplies

The Memorandum of Understanding (MoU) between the US and Iran has led to a significant sell-off in the oil market – far more aggressive than most analysts were expecting, including us.

The sell-off has been driven firstly by the premature expectation of a normalisation in oil supply from the Persian Gulf, and secondly, clear weakness in the physical market. However, we believe that the market is being too optimistic over the speed of the supply recovery as well as its sustainability. Furthermore, we have seen a significant tightening in global oil inventories since the start of the conflict, which leaves the market more vulnerable relative to the pre-war environment.

The price action in recent weeks reflects a market that is treating this temporary ceasefire between the US and Iran as a permanent deal. This is clearly not the case, and as we have

seen over the last four months, the situation can change very quickly. It took long enough to agree on a temporary ceasefire. Reaching a permanent deal which tackles the nuclear issue within 60 days would be very optimistic. Of course, there is always the potential for the ceasefire to be extended, which would effectively be kicking the can down the road.

Fundamentally, while a reopening of the Strait of Hormuz is seeing oil and LNG flows pick up, they remain well below pre-war levels. Our balance sheet continues to show that the oil market will be tight through the third quarter, and this follows the significant inventory drawdowns since March. We believe the market has overshot to the downside. However, our assumption is that flows will only get close to pre-war levels towards the end of the third quarter, while current price levels imply a return to normal by the end of July.

At close to \$70/bbl, the oil market currently has close to zero geopolitical risk premium priced in. [Under our base case, we had forecast ICE Brent to average \\$85/bbl in 4Q26](#). Clearly, more bearish sentiment combined with a quicker supply recovery poses a risk to this view.

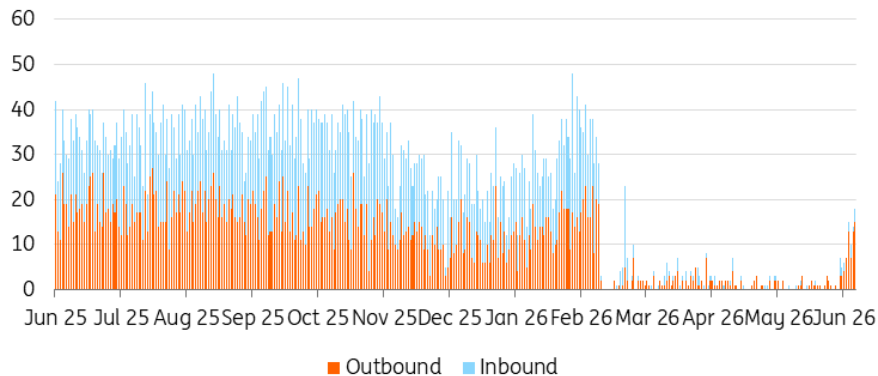
In this note, we look at some of the key reasons why the market has sold off so aggressively.

Persian Gulf oil flows are resuming

Oil flows through the Strait of Hormuz are picking up, vessel tracking data shows an increase in crossings, although for now they clearly remain well below pre-war levels. Over the last week, it is estimated that oil flows have averaged around 7m b/d vs pre-war flows of 20m b/d. However, we do not need to see Strait of Hormuz oil flows return to 20m b/d in order for Persian Gulf oil supply to fully recover. Given that some Saudi and UAE oil is bypassing the strait with the help of pipeline diversions, we only need to see flows through the strait return to around 14m b/d to get back to pre-war levels.

However, the key uncertainty is whether these flows can be sustained. A lot of these vessel movements are essentially vessels which have been trapped for months in the Persian Gulf finally moving out. Inbound vessel movements are more modest, which suggests flows could pull back once previously stranded ships have left the Persian Gulf.

Strait of Hormuz oil tanker crossings rise but dominated by outbound movements (number of tankers)



Source: LSEG, ING Research

Note: Vessels which turn off their AIS will not be reflected in this data

✓ Iran sanction waiver

A condition of the MoU was that, in addition to the US lifting its blockade on Iranian ports, sanctions would be eased on Iranian oil exports. The US has kept to this promise with the blockade lifted and a temporary 60-day waiver on sanctions. The lifting of the US blockade is more important when it comes to seeing a recovery in Iranian oil exports. The easing in sanctions does open the door for further potential buyers of Iranian oil (rather than almost exclusively China), which suggests that discounts on Iranian crude oil could narrow, rather than lead to a dramatic increase in Iranian supply. In order to see Iranian oil output increase, we would need to see a more permanent easing in sanctions, which would then potentially see Iran managing to increase output by about 500k b/d from pre-war levels.

✓ The physical oil market is weak

A key factor behind the weakness is that ultimately, the physical oil market is weak at the moment. Buyers have been deferring purchases in anticipation of lower prices, and so are happy to draw down inventory instead. The weakness in the physical market is highlighted by the widening discounts for a number of crude grades. Dated Brent is trading at a discount to Brent futures and there have been reports of China reselling West African cargoes.

However, restocking will need to happen at some stage, as the continued drawing down of inventory is not sustainable. The forward curve still does not provide the biggest incentive to restock, so possibly we may have to see the forward curve flatten and possibly even move into contango for more meaningful restocking to occur.

And while there will be a lot of attention on when and if we see a recovery in China's crude oil

imports, it is unlikely that we see significant restocking from China given that while imports have fallen drastically following the war, inventory drawdowns have been much more modest. The restocking demand we expect will come from elsewhere.

Dated Brent vs front-line Brent futures- DFL (US\$/bbl)



Source: LSEG, ING Research

✓ Return of Gulf flows coincides with continued SPR releases

The pickup in oil flows from the Persian Gulf is also coinciding with the continued release of oil from government strategic reserves. IEA member countries early on in the conflict agreed to a coordinated release of 412m barrels – the largest on record. These volumes continue to come onto the market, and if we look at just the US, releases from the Strategic Petroleum Reserve have averaged more than 1.2m b/d since May.

✓ Demand destruction has been more aggressive than expected

Expectations had been that demand destruction in the second quarter of the year was anywhere between 2-3m b/d, with most of this coming from the petrochemical sector and aviation. However, more recent estimates from the IEA suggest that the demand hit has been far more aggressive than expected. The IEA estimates that 2Q26 demand fell around 5m b/d YoY, compared to a previous estimate of a 2.45m b/d year-on-year decline over the quarter. Demand appears to have been much more reactive beyond the sectors and fuels initially expected. More aggressive demand destruction would also mean that the degree to which the market has had to rely on inventories is somewhat less. Looking forward, the key question is how quickly demand recovers. The IEA expects that global oil demand will only return to YoY growth in the final quarter of this year.



Growing surplus expectations for 2027

There is a growing expectation that the global oil market will be well supplied through 2027, assuming obviously that the return of Persian Gulf supply continues. While the 2027 supply/demand balance means little for current fundamentals, markets are forward-looking, and so this will not be helping sentiment.

The higher prices seen through March and much of the second quarter mean that there has been an increase in US drilling activity. As a result, US crude oil production is expected to grow in the region of 500k b/d YoY in 2027.

In addition, the UAE's exit from OPEC leaves room for stronger supply from the Middle East. The UAE had been producing around 3.5m b/d pre-war, and with current capacity of almost 4.3m b/d and plans to increase this to 5m b/d in 2027, there is sizeable upside to supply next year.

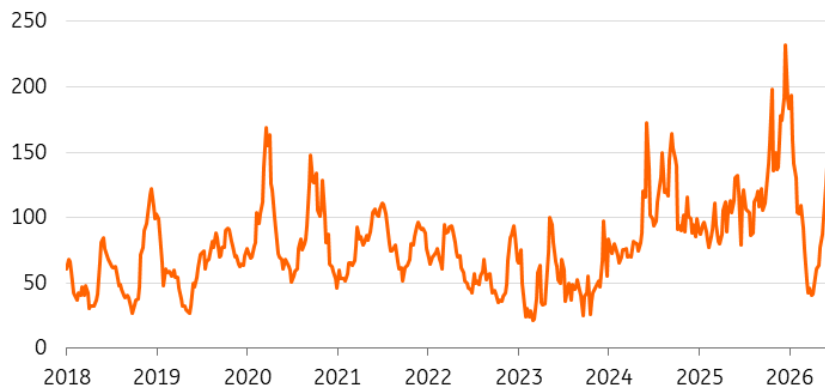
Furthermore, Iran is another potential source of additional supply. However, this will largely depend on whether there is a more permanent easing in US sanctions on Iran. If this were the case, we could see Iran increase output by around 500k b/d from pre-war levels to around 3.8m b/d.

Some may argue that if we move to significant oversupply in 2027, we will see OPEC+ manage supply in an attempt to rebalance the market. However, this may be more difficult to put into practice. Gulf countries have suffered in recent months due to the war and the blockade of the Strait of Hormuz, so there will likely be pushback if producers are asked to rein in supply. Iraq has already made it clear that it wants a higher production quota following the war. And with the recent exit of the UAE and threats from Iraq, the group will want to be careful about pushing members too much.

A significant speculative short has built up in the oil market

Through the war, there was a reluctance amongst market participants to hold too much risk in the market, given the headline-driven nature of the market and how one tweet could lead to wild swings in prices. However, since the temporary peace deal, we have seen a sizeable amount of fresh selling coming into the oil market. In fact, the speculative gross short in ICE Brent is near record highs, and while this highlights the bearish sentiment in the market, it also suggests that the speculative short is somewhat stretched, which may limit the appetite for significant further fresh selling.

The managed money gross short in ICE Brent is near record levels (000 lots)



Source: ICE, ING Research

✓ Consumers are not jumping into the market to hedge

Tying in with buyers deferring purchases in the physical market, in the futures market, consumers are also holding back from hedging, possibly in anticipation of lower prices. While recent Commitment of Traders data does show that ICE Brent consumer longs have edged higher recently, they are still well below pre-war levels.

ICE Brent commercial gross long (000 lots)



Source: ICE, ING Research

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 26 June 2026

KEY EVENTS

THINK Ahead: US jobs data and the ECB's inflation test

In a holiday-shortened week in the US, Thursday's June jobs report should be a cause for cheer, while falling gasoline prices are also helping ease inflation pressure. In Europe, eurozone inflation data will test ECB rate hike expectations



On 4 July, the US will celebrate the 250th anniversary of the signing of the Declaration of Independence

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Thu): America will be celebrating the 250th anniversary of the signing of the Declaration of Independence next Saturday, resulting in a holiday-shortened week. Thursday's June jobs report should also be a cause for cheer, with the fourth consecutive 100k+ reading for non-farm payrolls having averaged merely 8,500 per month between January 2025 and February 2026. While a print of around 110k will not be especially stellar, it will be enough to keep the market pricing Federal Reserve interest rate hikes. The ongoing fall in energy prices is another cause for celebration, with gasoline prices set to break below \$3.50 per gallon imminently. This will leave more money in consumers' pockets while also prompting sharply lower inflation readings over the next few months. Manufacturing surveys also suggest a decent ISM report, which, all

in all, means we expect a week that should be supportive for risk appetite.

Eurozone (Bert Colijn)

- **June Economic Sentiment Indicator** (Mon): After a sluggish PMI, the question is whether the second big survey on the eurozone economy shows more improvement. The Middle East deal will not have been fully incorporated yet, but with oil prices already moderating before the deal was struck, sentiment should see some improvement. Consumer confidence, part of the indicator, has already been released and indeed ticked up. Not only sentiment about output, but also inflation sentiment is very relevant. If fewer companies intend to price through higher costs, this will be a clear dovish sign for the ECB.
- **Inflation** (Wed): The key indicator for next week will be inflation for June from a eurozone perspective. Some positive notes on inflation recently, as businesses seem more wary about increasing prices and, most importantly, prices at the pump have come down in recent weeks, which brings the annual increase down compared to May. Markets have been adjusting ECB rate hike expectations down and the June number will be a clear mark for how concerning the inflation situation is now that the deal will bring additional relief.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **June Flash CPI** (Tue): We project a further decline in headline inflation amid a visible decline in fuel prices vs. the previous month, even though the excise duty on gasoline and diesel was restored to its regular levels from the beginning of the year. Food price inflation remains benign, and core inflation was likely broadly unchanged compared to May. All in all, the National Bank of Poland is unlikely to signal any deviation from its wait-and-see policy stance in early July, and the new inflation projection should show that inflation might be heading towards the target, potentially as early as 2Q27, meaning there is no need to hike rates. At the same time, the return to cuts is unlikely any time soon, given the uncertainty regarding the impact of the recent Middle East conflict on prospects for the global economy.

Czech Republic (David Havrlant)

- **June Manufacturing PMI** (Wed): The Statistical Office will likely confirm the 1Q GDP take, though we see some scope for upward revision of the soft quarterly growth. Industrial PMI is expected to have marginally deteriorated in June, while it remained safely in expansionary territory, proving a welcome resilience of Czech manufacturing to the Middle Eastern disturbance.

Turkey (Muhammet Mercan)

- **Inflation** (Fri): We expect monthly inflation to moderate further in June to 0.8%, resuming a downtrend in the annual figure to 31.9% from 32.6% a month ago. This would be driven by unprocessed food prices thanks to a recovery in agricultural production and favourable rainfall so far this year, while the rapid decline in oil prices is also supportive for energy inflation.

Key events in developed markets next week

THINK economic and financial analysis

Country	Time	Data/event	ING	Prev.
Monday 29 June				
Eurozone	0900	May M3 Money Supply	2.8	2.7
	1000	Jun Business Climate	0.1	-0.3
	1000	Jun Economic Sentiment	94.4	93.5
	1000	Jun Consumer Confidence Final	-	-19
Spain	0800	Jun CPI Flash NSA (MoM%/YoY%)	-/-	0.1/3.2
	0800	May Retail Sales (MoM%/YoY%)	-/-	-1.5/0.8
Tuesday 30 June				
US	1400	Apr Case-Shiller 20 (MoM%/YoY%)	-0.2/0.9	-0.2/0.8
	1445	Jun Chicago PMI	55.8	62.7
	1500	Jun Consumer Confidence	97.5	93.1
	1500	May JOLTS job openingsd (000s)	7250	7618
Germany	0700	May Retail Sales Real (MoM%/YoY%)	0.4/0.0	-0.3/-0.3
	0855	Jun Unemployment Rate	6.4	6.3
	1300	Jun CPI (MoM%/YoY%)	-/-	-0.2/2.6
France	0745	Jun CPI Prelim (MoM%/YoY%)	-/-	0.1/2.4
UK	0700	Q1 GDP Growth (QoQ%/YoY%)	-/-	0.6/1.1
	0700	Q1 Current Account GBP (GBP bn)	-	-18.4
Italy	1000	Jun CPI Prelim (MoM%/YoY%)	0.4/3.4	0.4/3.2
Canada	1330	Apr GDP (MoM%)	-	-0.1
Portugal	1100	Jun CPI Flash (MoM%/YoY%)	-/-	0.2/3.3
Wednesday 1 July				
US	1315	Jun ADP National Employment (000s)	110	122
	1500	Jun ISM Manufacturing PMI	54.2	54
	1500	Jun ISM Manufacturing Prices Paid	72	82.1
Eurozone	0900	Jun S&P Manufacturing PMI Final	51.6	51.6
	1000	Jun CPI Flash (YoY%)	3.1	3.2
	1000	Jun Core CPI Flash (YoY%)	2.6	2.6
Germany	0855	Jun S&P Global Manufacturing PMI Final	50.1	50.1
UK	0930	Jun S&P Global Manufacturing PMI Final	-	53.9
Italy	0845	Jun S&P Global Manufacturing PMI	53	52.9
Thursday 2 July				
US	1330	Initial Jobless Claims (000s)	225	215
	1330	Jun Non-Farm Payrolls (000s)	110	172
	1330	Jun Private Payrolls (000s)	115	120
	1330	Jun Unemployment Rate	4.3	4.3
	1500	May Factory Orders (MoM%)	-3.7	4.8
Eurozone	1000	May Unemployment Rate	-	6.3
Italy	0900	May Unemployment Rate	5.1	5.1
Switzerland	0730	Jun CPI (MoM%/YoY%)	-/-	0.2/0.6
Friday 3 July				
US	-	National Holiday	-	-
Eurozone	0900	Jun S&P Global Services PMI Final	-	47.7
	0900	Jun S&P Global Composite PMI Final	-	48.5
Germany	0855	Jun S&P Global Services PMI Final	48.1	48.1
	0855	Jun S&P Global Composite PMI Final	48.8	48.8
France	0745	May Industrial Output (MoM%)	-	0.1
	0850	Jun S&P Global Composite PMI	-	44.9
UK	0930	Jun S&P Global Services PMI Final	-	49.3
	0930	Jun S&P Global Composite PMI Final	-	49.7
Italy	0845	Jun S&P Global Composite PMI	-	50.4
Spain	0815	Jun S&P Global Services PMI	-	50.1

Source: Refinitiv, ING

Key events in Central and Eastern Europe next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 29 June				
Turkey	1200	May Bank NPL Ratio	-	2.7
	0800	Jun Economic Confidence	-	97.2
Kazakhstan		- Q2 GDP (YoY%)	-	3
Tuesday 30 June				
Turkey	0800	May Trade Balance Final (USD bn)	-5.6	-8.5
Czech Rep	0800	Q1 Revised GDP (QoQ%/YoY%)	0.2/2.2	0.2/2.2
Hungary	0730	May Trade Balance Final (EUR mn)	-530	370
Poland	0830	June flash CPI (MoM%/YoY%)	-0.1/2.9	-0.3/3.1
Wednesday 1 July				
Russia	0700	Jun S&P Global Manufacturing PMI	-	49.8
	1700	May Retail Sales (YoY%)	5.0	6.5
	1700	May Unemployment Rate	2.2	2.2
Turkey	0800	Jun Manufacturing PMI	-	49.8
Poland	0800	Jun S&P Global Manufacturing PMI	49.7	49.4
Czech Rep	0830	Jun S&P Global Manufacturing PMI	51.8	52.2
	1300	Jun Budget Balance (CZK bn)	-154.0	-170.2
Hungary	0800	Jun Manufacturing PMI	49.9	50.2
Kazakhstan		- Jun CPI (MoM%/YoY%)	0.7/10.2	0.7/10.4
Thursday 2 July				
Russia		- May GDP (YoY%) Monthly	0.5	1.3
Turkey	1230	Gross FX Reserves (USD bn)	-	53.1
Friday 3 July				
Russia	0700	Jun S&P Global Services PMI	-	48.7
	0700	Jun S&P Global Composite PMI	-	49.2
Turkey	0800	Jun CPI (MoM%/YoY%)	0.8/31.9	1.7/32.6

Source: Refinitiv, ING

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Bert Colijn

Chief Economist, Netherlands

bert.colijn@ing.com

Adam Antoniak

Senior Economist, Poland

adam.antoniak@ing.pl

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Muhammet Mercan

Chief Economist, Turkey

muhammet.mercan@ingbank.com.tr

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United

THINK economic and financial analysis

States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 25 June 2026

ENERGY UNITED STATES AI

Three trends to watch in the US data centre industry

From behind-the-meter power to new data centre hubs and 'boomtowns', an AI-era makeover is now reshaping energy, infrastructure and local economies across the US



A large-scale Google data centre in Nevada. Data centres are now driving an infrastructure revolution and energy demand growth at a rate not seen in decades

AI has become a key driver of economic growth in the US, with power constraints emerging as a defining factor shaping how sectors evolve. As AI-driven data centre expansion accelerates, it is reshaping energy demand, infrastructure needs, and local economies.

For instance, data centres are driving energy demand growth at a rate not seen in decades, requiring significantly more power than the grid can deliver in a 12 to 18-month span. Moreover, data centres are driving an infrastructure revolution, requiring significant buildouts necessitating new real estate and fibre networks in remote areas. All this will also affect affordability for the public, putting the topic at the forefront of data centre development.

Against this backdrop, we're closely tracking several key data centre trends in the US. This article explores behind-the-meter power, the rise of ultra-large hubs, and the emergence of data centre 'boomtowns'. A follow-up piece will examine modular solutions and evolving supply chains.

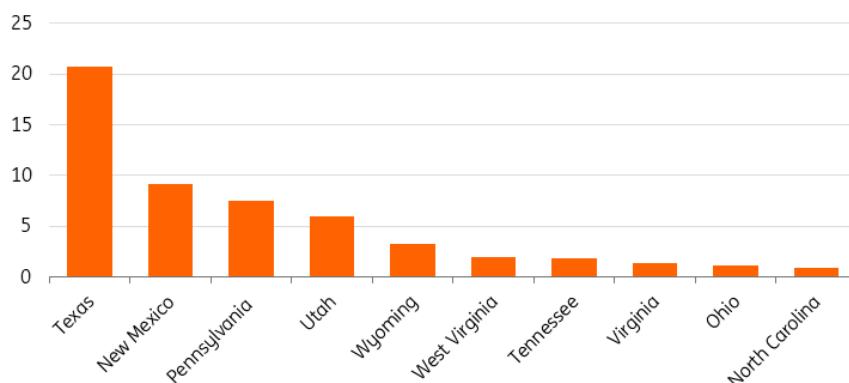
1. How data centres' own power can be a new grid asset – and more than a stopgap

Power availability is now a first-order concern for the data centre industry. Grid interconnection for both data centres and new power generation remains slow, often exceeding **four-year timelines**. Multiple reforms are underway, such as [recent action](#) by the Federal Energy Regulatory Commission (FERC) to accelerate large power consumer interconnection, but the effects take time to be seen.

As data centres race to bring new capacity online in the next 12-18 months, many are turning to on-site (or 'behind-the-meter') power. This means generating and using electricity directly on their premises, bypassing the grid.

Conservatively, over **55GW** of behind-the-meter capacity is being planned at US data centres. That is higher than the total installed power capacity in the state of New York. Texas has the most planned on-site capacity, followed by New Mexico and Pennsylvania.

US planned data centre on-site power generation capacity in top 10 states



Source: ING Research, Cleanview

The US accounts for most of the world's planned data centre behind-the-meter power capacity. This is driven by a huge project pipeline and cheap gas resources. Indeed, 75% of the planned US onsite power capacity is expected to be from natural gas through turbines, engines, and fuel cells. Renewables could also be a niche alternative, such as Switch's solar and battery-powered Citadel Campus in Nevada.

Most data centres view on-site generation as a 'bridging solution'

Still, most data centres view on-site generation as a 'bridging solution.' In the long term, the

majority would still return to relying on grid power. In fact, many data centres are developing behind-the-meter solutions while waiting to be connected to the grid.

An emerging issue today, however, is managing rapid load surges (e.g., over 20MW of surge in 0.25 seconds) thanks to shifts in AI workload-driven data centre design. These surges can be too quick for on-site generators to respond to, and they can put sudden strain on the grid. Another key challenge is how data centres can be seen as grid supporters rather than isolated power users, especially as power prices come under pressure.

Power storage stands out as a solution

For both challenges, **power storage** stands out as a solution.

Behind-the-meter power can already help smooth out demand spikes. And if combined effectively with utility-scale battery storage, it can give excess power back to the grid, boost overall capacity, and stabilise prices. Furthermore, batteries can help meet instant load surges, enhancing on-site generator performance. That is why we expect more battery systems to be added to data centres, not only alongside renewables, but also with gas-fired power generation.

Ultimately, data centres must adopt strategies that support local energy systems. That essentially means supporting consumers who rely on power from the grid. Battery storage onsite at data centres, as discussed above, will be an asset to the grid. Beyond that, participating in [virtual power plant \(VPP\) programmes](#) can make power demand from the grid more flexible (e.g. Google's deal with Voltus).

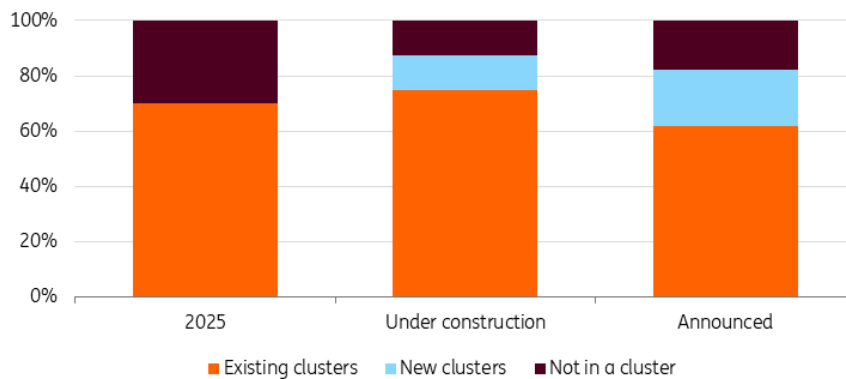
All these will become increasingly important as data centres are more vertically integrated with the energy sector (e.g. Google's acquiring of Intersect's digital power business). Smart data centre energy strategies, combined with evolving grid policies, will enable genuine energy transformation.

2. The rise of new ultra-large hubs calls for system efficiency

Data centres, especially those in the US, are large in size. Now, though, they are growing even larger, as demand from AI and cloud workloads continues to surge. Hyperscalers are moving from gigawatt factories to multi-gigawatt campuses. Colocation providers are shifting away from traditional enterprise models toward higher-capacity deals with anchor customers.

Traditionally, data centres are spatially concentrated to take advantage of shared infrastructure and customer proximity. Now, though, an increasing number of larger data centres are in development, meaning concentration is not going away. In North America, approximately **80%** of the data centres in the pipeline are expected to be in clusters, both existing and new.

Geographical distribution of data centres in the US



Source: International Energy Agency, ING Research. Note: Data centre clusters are defined as groups of facilities with a combined total designed capacity of over 500MW within a 100km radius.

Hyperscalers and operators are deepening the expansion of existing clusters, such as Northern Virginia and major Texas metropolitan areas, including Dallas and San Antonio.

Meanwhile, new hubs are forming. Rising land, power, and interconnection constraints in existing clusters are catalysing the emergence of new hubs such as West Texas and Ohio. Infrastructure in these regions is quickly developing. Digital infrastructure company US Signal, for instance, is constructing **over 1,000 miles** of new fibre networks across Ohio and Indiana. That length is enough to get you from New York City to Tampa, Florida.

For data centres, efficiency is key. This is true at the asset level, but it becomes more important at the system level – at clusters. Achieving system efficiency requires a holistic approach. Coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation stage.

Achieving system efficiency needs a holistic approach

For instance, new regional hubs serve both latency-sensitive AI inference and location-agnostic AI training. So, coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation.

Another key factor of system efficiency is local support. Data centre development can inevitably create pressure points for communities. For instance, in Ohio, now a major data centre hub, retail electricity prices rose 22% year over year. In some other cases, local communities have had concerns about data centre water usage and pollution. As local sentiment becomes a bigger consideration for project development, data centres need to demonstrate they can be part of the solution. Effective strategies include engaging with

communities early, identifying their needs, and reflecting them in project plans.

3. How remote data centre boomtowns can keep booming in the long term

But not all data centres will go for clusters. Some have headed to remote towns outside major metropolitan areas, betting that their multi-gigawatt ambition alone can achieve economies of scale.

One example is Abilene in Texas, home to the nearly 300,000-square-foot Stargate facility. The economic benefits from the project have surged: it has created thousands of construction jobs since its launch in mid-2024, while drawing in out-of-town labour. Other boomtowns and communities include New Florence, Missouri; Holly Ridge, Louisiana; and so on.

For these towns, much of the local economic growth now relies on data centres. That has raised questions about how these towns can sustain growth once data centre construction is completed. Studies suggest that for a traditional large data centre, operational job creation potential tends to be less than 10% of that of construction jobs.

We argue, however, that with the right strategies, data centres can meaningfully contribute to the development of local communities.

The key, first and foremost, is to **transform construction jobs into skill-oriented on-site asset management jobs**. As hyperscalers become larger and more sophisticated, the need for skilled labour to run such data centres could disproportionately grow. With more data centres pursuing behind-the-meter power solutions, there will be extra demand for labour capable of maintaining energy assets.

The second priority is to **transition from being a construction hub to becoming part of a broader AI ecosystem**. Even at the planning stage, data centres are encouraged to work with local stakeholders to develop a regional AI blueprint. For instance, Microsoft's hyperscaler buildout in Wisconsin includes partnerships with nearby colleges to support research and development (R&D), train skilled labour, and facilitate AI adoption among local companies, such as Regal Rexnord and Renaissance. By doing this, Microsoft is helping turn parts of Wisconsin into an "AI lab," with hyperscalers surrounded by educational institutions running dedicated AI programmes.

Data centre boomtowns need to transition from a construction hub to a broader AI ecosystem

This can create high-quality research jobs locally, with spillover benefits for employment in services and hospitality. Data centres would also benefit from working closely with state and

local governments to ensure that local communities have affordable housing, power, and other resources.

Conclusion

As AI becomes a megatrend affecting many sectors of the US economy, data centre development increasingly hinges on coordination across the supply chain and with local stakeholders. Power strategy, system-level efficiency and local alignment will increasingly define business success.

Ultimately, local support is a critical 'social license to operate'. Community trust will be awarded to players who align the interests of data centre developers, tenants, and power suppliers with those of local communities from the start. Data centres that incorporate flexible design, efficient hardware and software, and smart use of water and power – while engaging supply chains and local communities – are more likely to survive the 'boom' period and sustain long-term business continuity.

Author

Coco Zhang
ESG Research
coco.zhang@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

THINK economic and financial analysis

Additional information is available on request. For more information about ING Group, please visit www.ing.com.